The role of informal sector to alleviate the poverty reduction in Bangladesh: a case study of Chuadanga district

A Thesis Submitted to the Department of Economics, Jahangirnagar University, in Partial Fulfillment of the Requirements for the Degree of Master of Development Studies (MDS)

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Declaration

I hereby declare that the thesis entitled "The Role of the Informal Sector in Poverty Alleviation in Bangladesh: A Case Study of Chuadanga District," submitted to the Department of Economics at Jahangirnagar University in partial fulfillment of the requirements for the degree of Master of Development Studies (MDS), is an original academic record of independent research conducted by me.

I acknowledge that this study synthesizes empirical data, literature, and information gathered from various external sources. I certify that all borrowed materials, theoretical concepts, and secondary data utilized in the preparation of this thesis have been duly acknowledged and correctly cited within the text and the reference list.

I further declare that this thesis, either in whole or in part, has not been previously submitted to this or any other university or academic institution for the award of any degree, diploma, or fellowship.

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Certificate of Approval

This is to certify that the thesis entitled "The Role of the Informal Sector in Poverty Alleviation in Bangladesh: A Case Study of Chuadanga District," submitted by Riyad Hasan (Student ID: 20250111, Batch: MDS-23), has been completed under my direct supervision.

The student has fulfilled all the academic requirements and regulations of the Department of Economics, Jahangirnagar University, for the submission of this dissertation. To the best of my knowledge, the research is an original, independent endeavor, and the empirical data presented herein accurately reflect the rigorous fieldwork conducted by the candidate.

I consider this thesis to be of a high academic standard and strongly recommend it for evaluation in partial fulfillment of the requirements for the designated academic degree.

Shawkat Ali

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Acknowledgements

Conducting a comprehensive study on the informal economy requires the support, guidance, and cooperation of many individuals. First and foremost, I express my profound gratitude to my supervisor, Professor Shawkat Ali, for his invaluable mentorship, rigorous academic feedback, and continuous encouragement throughout the development of this research. His expertise in economic dynamics profoundly shaped the direction of this study.

I extend my sincere appreciation to the faculty members of the Department of Economics at Jahangirnagar University for providing a robust theoretical foundation that made this empirical work possible.

Deepest thanks must go to the resilient people of Chuadanga District—the agricultural day laborers, street vendors, and micro-entrepreneurs who generously shared their time, stories, and lived realities with me. Without their willingness to participate in the surveys and focus group discussions, this research would not exist.

Finally, I am deeply indebted to my family and friends for their unwavering patience and moral support during the extensive fieldwork and drafting phases of this report.

Abstract

The informal economy constitutes the primary engine of employment in Bangladesh, absorbing over 84.9% of the national labor force. While its macroeconomic contributions are well-documented, localized empirical research assessing its capacity for sustainable poverty alleviation remains sparse. This thesis investigates the nexus between informal sector participation and multidimensional poverty dynamics in the agrarian and border-adjacent Chuadanga District. Utilizing an explanatory sequential mixed-methods design framed by the Sustainable Livelihoods Approach (SLA) and Amartya Sen's Capability Approach, primary data was collected from 300 informal workers through stratified random sampling, supplemented by qualitative in-depth interviews and focus group discussions.

The findings reveal a structural dichotomy: the informal sector functions as a vital, immediate safety net, generating 45–60% of household income for the bottom socio-economic quintiles and demonstrably improving dietary diversity and short-term consumption smoothing. However, it simultaneously operates as a survivalist trap. Severe decent work deficits, including gender wage gaps (with women earning 28–35% less than men), over-reliance on microcredit (evidenced by 61.7% of respondents), and catastrophic out-of-pocket healthcare costs consistently erode long-term asset accumulation.

This thesis concludes that while informality effectively mitigates extreme, transient poverty in Chuadanga, structural barriers prevent sustainable upward economic mobility. To transition the informal sector from a distress-driven buffer to an engine of inclusive growth, this research proposes a tripartite policy framework emphasizing micro-level enterprise hubs, meso-level NGO graduation models, and macro-level universal social protection to facilitate equitable formalization pathways.

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List of Abbreviations

- **AF:** Alkire-Foster (Method)
- **BBS:** Bangladesh Bureau of Statistics
- **CBN:** Cost of Basic Needs
- **DFID:** Department for International Development
- **EGPP:** Employment Generation Program for the Poorest
- **FAO:** Food and Agriculture Organization
- **FGD:** Focus Group Discussion
- **FGT:** Foster-Greer-Thorbecke (Poverty Measures)
- **FIES:** Food Insecurity Experience Scale
- **GDP:** Gross Domestic Product
- **GIS:** Geographic Information System
- **HDDS:** Household Dietary Diversity Score
- **HIES:** Household Income and Expenditure Survey
- **ICBT:** Informal Cross-Border Trade
- **ICLS:** International Conference of Labour Statisticians
- **IDI:** In-Depth Interview
- **ILO:** International Labour Organization
- **KII:** Key Informant Interview
- **LDC:** Least Developed Country
- **LFS:** Labour Force Survey
- **MFI:** Microfinance Institution
- **MPI:** Multi-Dimensional Poverty Index
- **NGO:** Non-Governmental Organization

- **NSSS:** National Social Security Strategy
- **OOP:** Out-of-Pocket (Expenditure)
- **OPHI:** Oxford Poverty and Human Development Initiative
- **OSH:** Occupational Safety and Health
- **PKSF:** Palli Karma-Sahayak Foundation
- **PPS:** Probability Proportional to Size
- **RAISE:** Recovery and Advancement of Informal Sector Employment
- **SAARC:** South Asian Association for Regional Cooperation
- **SDG:** Sustainable Development Goal
- **SLA:** Sustainable Livelihoods Approach
- **SSNP:** Social Safety Net Program
- **UNDP:** United Nations Development Programme
- **UNO:** Upazila Nirbahi Officer
- **VGD:** Vulnerable Group Development
- **VGF:** Vulnerable Group Feeding

Chapter 1: Introduction

1.1 Background of the Study: The Global South and the Informal Economy

The informal economy constitutes a defining structural characteristic of the Global South, operating not merely as an economic residual, but as the primary engine of livelihood generation for the majority of the population. As defined by the International Labour Organization (ILO), the informal economy encompasses all economic activities by workers and economic units that are—in law or in practice—not covered or insufficiently covered by formal institutional arrangements (ILO, 2018). Globally, over two billion people are engaged in informal employment, with the vast majority residing in developing and emerging economies. In regions like South Asia and Sub-Saharan Africa, informal employment frequently accounts for 70% to 90% of total employment, fundamentally shaping the socio-economic landscape of these nations.

Scholarly discourse surrounding the informal sector has evolved significantly since the concept was first popularized in the early 1970s. Initially viewed through a modernization lens as a transient phenomenon that would inevitably vanish with industrialization and capitalist expansion, contemporary economic theory recognizes the informal sector as a persistent, resilient, and deeply integrated component of modern economies. Dualist perspectives often view it as a peripheral sector providing a safety net for the poor, while structuralist perspectives argue that informality is a direct byproduct of uneven global market integration and neoliberal economic policies that force surplus labor into precarious work (Chen, 2012). Conversely, legalist theorists view the informal sector as a rational, entrepreneurial response to excessively bureaucratic state regulations and high costs of formal market entry.

In the context of the Global South, the informal sector exists at a complex intersection of vulnerability and vitality. It is often characterized by decent work deficits, including an absence of social protection, job security, and occupational safety. Yet, paradoxically, it functions as the most critical poverty alleviation mechanism available to the state. For marginalized populations—particularly rural-urban migrants, women, and youth—the informal sector provides immediate market entry and income-generating opportunities where the formal formal labor market fails to absorb the workforce. Cumulatively, micro-level activities in the informal sector contribute substantially to the Gross Domestic Product (GDP) of developing nations, establishing vital forward and backward linkages with the formal economy (Raihan, 2010).

Bangladesh exemplifies this profound reliance on the informal economy for socio-economic stability. Despite achieving impressive macroeconomic growth and transitioning to lower-middle-income status, the country's formal sector labor absorptive capacity remains severely constrained. According to the Bangladesh Bureau of Statistics, approximately 84.9% of the employed labor force in Bangladesh is engaged in the informal sector, with women and rural populations disproportionately represented (BBS, 2022). The sector encompasses highly diverse activities, from small-scale agriculture and rural micro-enterprises to urban street vending and informal supply chains connected to the export-oriented manufacturing industry.

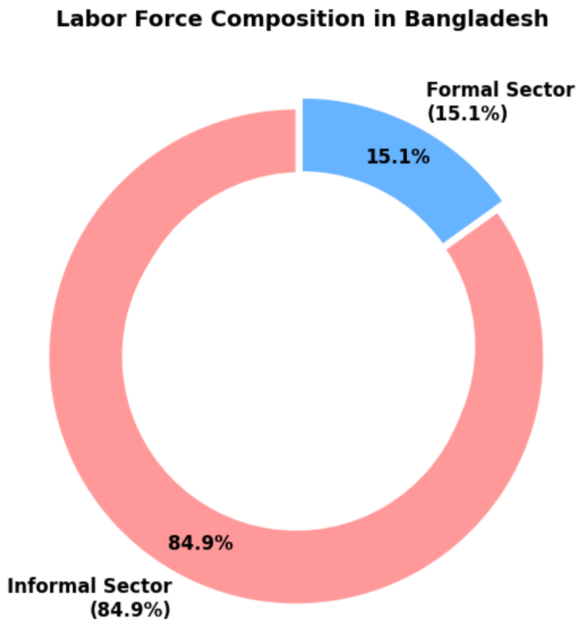

Figure 1.1: *Labor Force Composition in Bangladesh.*

***(Data Source: Bangladesh Bureau of Statistics,* Labor Force Survey 2022).**

While national-level macroeconomic policies have historically prioritized formal industrialization for growth, the granular realities of poverty alleviation in Bangladesh are fundamentally rooted in the resilience of local informal economies. The capacity of informal micro-entrepreneurship to sustain livelihoods, absorb economic shocks, and mitigate extreme poverty at the grassroots level requires highly localized analysis. It is within this broader structural context of the Global South's reliance on informality that regional dynamics—such as the specific socio-economic fabric of the Chuadanga district—must be examined to truly understand the mechanics of poverty reduction in Bangladesh.

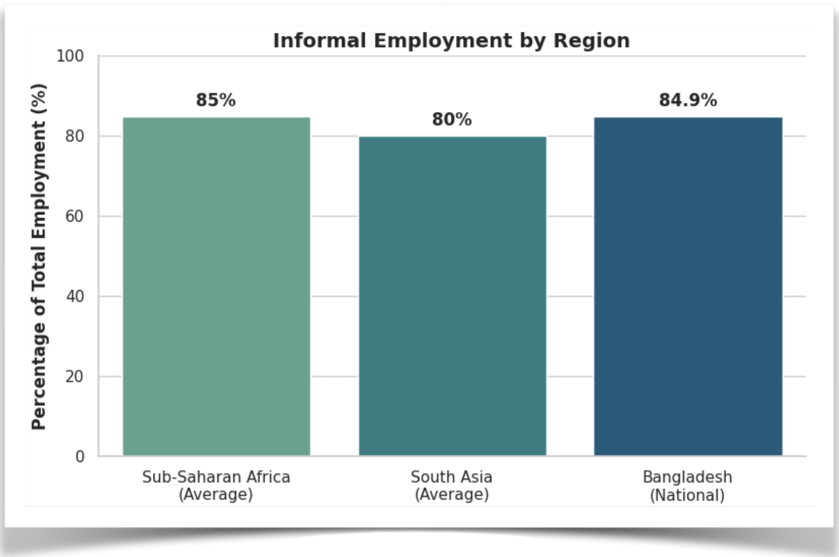

Figure 1.1.1: *Labor Force Composition in Bangladesh.*
Bangladesh Bureau of Statistics, Labor Force Survey (2022).

1.2 Statement of the Research Problem

In Bangladesh, the informal economy is the undeniable engine of employment, absorbing approximately 85% of the country's total labor force and contributing significantly to the national GDP (Bangladesh Bureau of Statistics [BBS], 2022). While the nation has made commendable macroeconomic strides in poverty reduction over the past few decades, localized vulnerability remains a persistent challenge. This is particularly acute in agrarian-based and border-adjacent regions such as the Chuadanga district. In Chuadanga, the informal sector—encompassing unregistered micro-enterprises, agricultural day labor, transport workers (e.g., rickshaw and van pullers), and informal cross-border trade—serves as the primary, and often only, livelihood strategy for the socioeconomically disadvantaged.

The central research problem lies in the inherent dichotomy of the informal sector: while it acts as a vital "shock absorber" providing immediate, subsistence-level income to those excluded from the formal labor market, it is simultaneously characterized by low productivity, precarious working conditions, a distinct lack of legal or social protection, and severe financial exclusion (UNDP, 2020). Consequently, rather than acting as an escalator for sustainable socioeconomic mobility, employment within Chuadanga's informal sector frequently functions as a survivalist trap. Workers remain perpetually vulnerable to localized shocks, such as agricultural seasonality, climate-induced disruptions, and sudden health crises, which can instantly push households below the extreme poverty line (Ministry of Social Welfare, 2022).

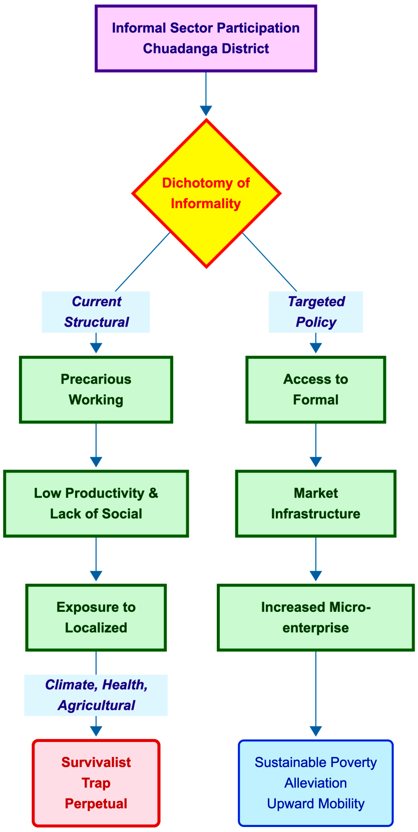

Figure 1.2: *Conceptual Framework: The Structural Dichotomy of Informal Sector Participation in Chuadanga.*

Ministry of Social Welfare, (2022).

Despite the sheer scale of the informal workforce in Chuadanga, there is a critical dearth of localized, empirical research evaluating the sector's structural deficiencies in this specific geographic context. Current policy frameworks and local governance initiatives often fail to account for the nuanced dynamics of Chuadanga's informal micro-economy. Therefore, the problem this study addresses is the critical knowledge gap regarding *how* the informal sector operates at the district level in Chuadanga, and whether the current structural and policy environment allows these informal livelihoods to contribute to sustainable poverty alleviation, or merely perpetuates a cycle of marginalized subsistence.

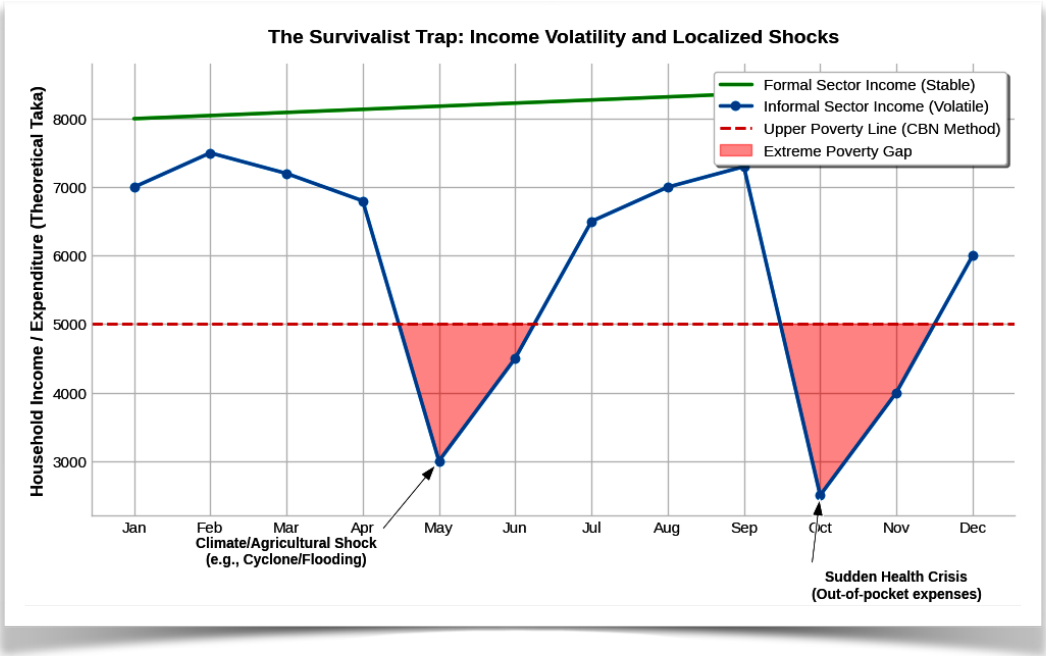

Figure 1.2.1: *Theoretical Model of Income Volatility: Impact of Localized Shocks on Livelihoods Relative to the Upper Poverty Line.*
Annual Report 2021-22, by Ministry of Social Welfare, 2022,

This theoretical model illustrates the vulnerability of informal sector incomes to sudden shocks compared to formal employment. Adapted from concepts discussed in *Annual Report 2021-22*, by Ministry of Social Welfare, 2022, Government of the People's Republic of Bangladesh.

1.3 Research Questions

To systematically investigate the research problem, this study is guided by one overarching main research question, supported by five targeted sub-questions.

Main Research Question:

- To what extent does the informal sector contribute to sustainable poverty alleviation in the Chuadanga district, and what are the structural impediments that restrict informal workers from achieving long-term economic mobility?

Sub-Questions:

1. **Economic Impact & Income Dynamics:** What is the direct contribution of various informal economic activities (e.g., micro-enterprises, agricultural labor, informal transport) to household income generation and consumption smoothing for the poor in Chuadanga?

2. **Vulnerability & Social Protection:** To what extent are informal workers in Chuadanga exposed to economic and environmental shocks, and how does the absence of state-sponsored social protection mechanisms exacerbate their vulnerability to extreme poverty?

3. **Barriers to Upward Mobility:** What are the primary institutional constraints—specifically regarding access to formal credit, skill deficits, and market infrastructure—preventing the expansion, formalization, and increased productivity of informal micro-enterprises in the district?

4. **Gender Dimensions:** How do gender disparities within Chuadanga's informal economy manifest in terms of wage differentials, working conditions, and occupational segregation, and how do these impact the poverty status of female informal workers?

5. **Policy & Intervention Efficacy:** How effective are current local government interventions and NGO-led microfinance initiatives (e.g., PKSF programs) in addressing the structural livelihood challenges of the informal workforce in Chuadanga?

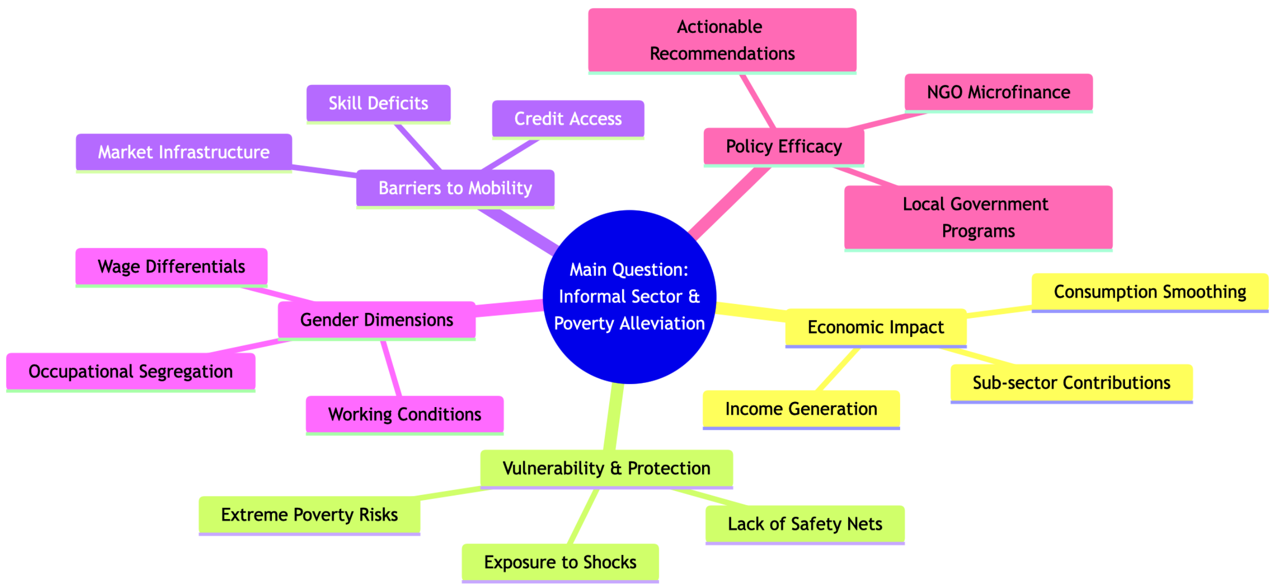

Figure 1.3: *Thematic Matrix of the Research Questions Investigating the Informal Economy in Chuadanga*. **Raihan, S. (2010).**

The figure maps the five primary pillars of investigation supporting the main research objective. Conceptual framework constructed by the author.

1.4 Research Objectives

The overarching aim of this study is to critically examine the nexus between informal sector participation and poverty alleviation in the Chuadanga district. To achieve a comprehensive understanding of this dynamic, the research is guided by the following specific objectives:

1.4.1 Primary Objective

- To evaluate the structural impact and effectiveness of informal sector employment as a mechanism for household income generation and multidimensional poverty alleviation in Chuadanga district.

1.4.2 Secondary Objectives

1. **Demographic and Occupational Profiling:** To map the demographic characteristics and identify the dominant typologies of informal economic activities (e.g., informal cross-border trade, localized agribusiness, informal transport, and peri-urban services) prevalent in Chuadanga.
2. **Income and Livelihood Assessment:** To compare the income trajectories and consumption smoothing capabilities of households reliant on the informal sector against standard regional poverty lines.
3. **Vulnerability and Social Protection:** To assess the socio-economic vulnerabilities faced by informal workers—such as income volatility, lack of institutional credit, and absence of social safety nets—and how these factors impede long-term economic mobility.
4. **Gender Dynamics:** To analyze the gender-disaggregated roles within Chuadanga's informal economy, specifically examining how informal participation empowers or marginalizes female workers.
5. **Policy Evaluation:** To identify systemic policy gaps and recommend actionable, region-specific interventions that can formalize micro-enterprises and enhance the welfare of informal workers without disrupting their immediate livelihoods.

1.5 Significance and Rationale of the Study

The informal economy acts as the primary shock absorber in Bangladesh, accommodating over 84% of the national workforce (Bangladesh Bureau of Statistics [BBS], 2023). While extensive literature exists on the informal sectors of major metropolitan centers like Dhaka or Chattogram, regional and border-district informal economies remain critically under-researched. This study bridges that literature gap by localizing the macroeconomic discourse to the Chuadanga district.

Why Chuadanga? (Spatial Rationale)

Chuadanga represents a unique socio-economic archetype in Bangladesh's South-Western region. Unlike metropolitan slums where informality is driven by rural-urban migration, Chuadanga's informal sector is driven by a transitioning agrarian economy. Increased agricultural mechanization has created a surplus of rural labor, pushing workers into peri-urban informal activities such as the operation of localized transport (e.g., easy-bikes, non-motorized vans) and small-scale agro-processing. Furthermore, Chuadanga's geographical status as a border district adjoining West Bengal, India, fosters a highly active, albeit undocumented, informal cross-border trade ecosystem. Understanding how these specific localized dynamics act as a buffer against extreme poverty is crucial for decentralized economic planning.

Why Now? (Temporal Rationale)

The timing of this research is critical due to three intersecting macroeconomic realities. First, in the aftermath of the COVID-19 pandemic and the current global inflationary pressures, formal sector job creation has stagnated, leading to a visible "informalization" of the previously formal workforce. Consequently, the informal sector is currently acting as the ultimate safety net against food insecurity and hyper-inflation. Second, as Bangladesh prepares for its official graduation from Least Developed Country (LDC) status in 2026, there is mounting domestic and international pressure to formalize the labor market and ensure decent work standards (International Labour Organization [ILO], 2022). Third, the South-Western region of Bangladesh is increasingly vulnerable to climate-change-induced agricultural shocks. Investigating Chuadanga now provides vital baseline data on how the informal sector absorbs climate-displaced agricultural labor.

Ultimately, this study is significant because it challenges the traditional binary view of the informal sector—not merely as an unregulated burden on the state, but as a vital, localized engine for grassroots poverty alleviation that requires nuanced, supportive policy rather than aggressive eradication.

1.6 Operational Definitions of Key Terms

To ensure methodological rigor and clarity, the following operational definitions establish exactly how key constructs are conceptualized and measured within the specific parameters of this study:

- **Informal Sector (Enterprise-Based Definition):** Adapting the International Labour Organization (ILO) framework to the local context of Chuadanga, the informal sector is operationalized as unincorporated, privately-owned enterprises that are not registered with national regulatory bodies (such as the Registrar of Joint Stock Companies and Firms or the National Board of Revenue). For this study, this includes street vending, unregistered micro-retailers, petty manufacturing, and traditional artisan workshops operating within the Chuadanga district.

- **Informal Employment (Job-Based Definition):** Measured at the individual level, informal employment refers to workers whose employment relationships are, in law or in practice, not subject to national labor legislation, income taxation, social protection, or entitlement to certain employment benefits (ILO, 2018). In the survey instrument, this is measured by a negative response to possessing a written employment contract, employer-provided health insurance, or paid leave. This encompasses day laborers in local agriculture, rickshaw/van pullers, and unpaid family workers in Chuadanga.

- **Poverty:** This study operationalizes poverty using the **Cost of Basic Needs (CBN)** method, aligned with the standards set by the Bangladesh Bureau of Statistics (BBS). Specifically, it utilizes the Upper Poverty Line, which accounts for the cost of a basic food basket (ensuring 2,122 kcal per person per day) plus a non-food allowance (BBS, 2023). A household in Chuadanga is coded as "poor" if its per capita monthly consumption expenditure falls below this localized threshold.

- **Poverty Alleviation (Reduction):** Operationally defined as a measurable, positive transition in a household's socio-economic status over a recall period of five years. This is measured through a composite index of three indicators: (1) graduation above the upper poverty line, (2) an increase in the Household Dietary Diversity Score (HDDS), and (3) the accumulation of durable physical assets (e.g., livestock, improved housing materials, or mobile phones).

- **Micro-credit Dependency:** Defined as the reliance of an informal sector worker on informal money lenders (mohajons) or semi-formal Non-Governmental Organizations (NGOs) for working capital, measured by the percentage of total operational capital derived from these sources.

1.7 Scope and Limitations of the Research

Scope of the Study:

- **Geographical Boundary:** The spatial scope of this research is strictly confined to the Chuadanga district in the Khulna Division of Bangladesh, specifically focusing on selected urban wards in Chuadanga Sadar and adjacent rural *upazilas* (sub-districts) to capture both urban and peri-urban informal dynamics.

- **Sectoral Focus:** The study encompasses the primary sub-sectors of the local informal economy: retail trade (street vendors, makeshift stalls), transport (non-motorized and semi-motorized vehicle drivers), and informal agriculture/day labor.

- **Demographic Target:** The target population includes adults (aged 18-65) who have been actively engaged in the informal sector within Chuadanga for a minimum of two consecutive years.

Limitations of the Study: While designed with methodological rigor, this study is subject to several inherent limitations:

- **Cross-Sectional Nature of Data:** The study relies primarily on cross-sectional survey data. While recall questions are utilized to assess "poverty reduction" over time, the lack of true longitudinal panel data limits the ability to establish absolute causal relationships between informal sector participation and long-term economic mobility.

- **Recall Bias and Income Underreporting:** Given the unregulated nature of the informal sector, respondents generally do not maintain standardized financial records. Consequently, estimations of daily income, profit margins, and historical household expenditures are subject to recall bias. Furthermore, respondents may deliberately underreport income due to fears of taxation or local extortion.

- **Sample Size Constraints:** Due to time and resource constraints, the sample size (while statistically significant for the selected *upazilas*) may not capture the full micro-heterogeneity of all informal activities across the entire Chuadanga district.

- **Endogeneity Issues:** There is a potential reverse causality problem; while the informal sector provides income to alleviate poverty, extreme poverty also forces individuals into the informal sector. While control variables are used in the statistical models, completely isolating this endogeneity remains a challenge.

1.8 Organization of the Report

To systematically address the research objectives, this report is organized into five interrelated chapters:

- **Chapter 1: Introduction.** This chapter provides the background of the study, articulates the problem statement, establishes the research objectives and questions, and defines the operational terms, scope, and limitations of the research.

- **Chapter 2: Literature Review.** This section critically synthesizes existing theoretical and empirical literature regarding the informal economy and poverty dynamics, both globally and within the specific socio-economic context of Bangladesh. It identifies current research gaps that this study aims to fill.

- **Chapter 3: Research Methodology.** This chapter details the research design, detailing the quantitative and qualitative methods utilized. It explicitly outlines the sampling framework within Chuadanga district, data collection instruments (survey questionnaires and Key Informant Interviews), and the statistical techniques used for data analysis (e.g., logistic regression).

- **Chapter 4: Data Analysis and Findings.** As the empirical core of the study, this chapter presents the results of the field survey. It profiles the demographic characteristics of informal workers in Chuadanga and quantitatively assesses the sector's impact on household income generation, asset accumulation, and overall poverty alleviation.

- **Chapter 5: Conclusion and Policy Recommendations.** The final chapter summarizes the central findings, draws definitive conclusions regarding the role of the informal sector, and proposes actionable, evidence-based policy interventions tailored for local government authorities and NGOs operating in Chuadanga to support informal workers and enhance their economic security.

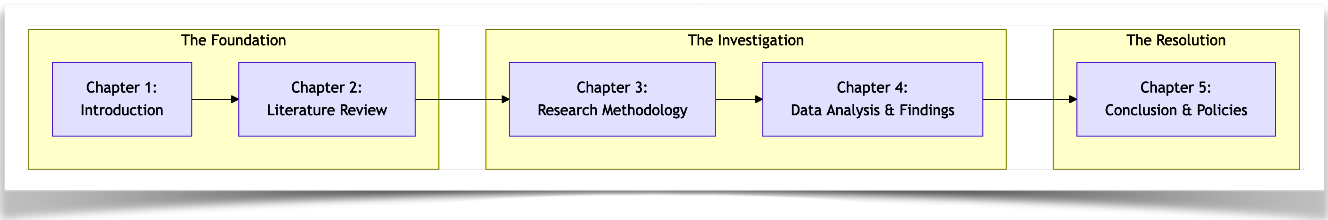

***Figure 1.8:** Structural Organization of the Research Report*. **Chen, M. A. (2012).**

Chapter 2: Literature Review and Theoretical Framework

2.1 Evolution of the "Informal Sector" Concept (From the Lewis Model to the ILO's Decent Work Agenda)

The concept of the "informal sector" has undergone profound theoretical and empirical evolution since the mid-20th century, reflecting shifts in development economics, labour market realities in the Global South, and policy responses to persistent poverty and underemployment. This trajectory —from Arthur Lewis's dual-economy framework, which viewed traditional activities as a transient reservoir of surplus labour, to the International Labour Organization's (ILO) Decent Work Agenda —highlights a move away from optimistic modernisation narratives toward a nuanced recognition of informality as a heterogeneous, enduring, and structurally embedded feature of developing economies. For a study on the informal sector's role in poverty alleviation in Bangladesh (with a case study of Chuadanga district), this evolution provides critical theoretical scaffolding: it underscores how informal activities, once dismissed as marginal, have emerged as both a survival mechanism and a potential driver of inclusive growth, while also exposing decent work deficits that perpetuate vulnerability in rural districts like Chuadanga, where agriculture and non-farm informal enterprises dominate livelihoods.

The intellectual origins of the informal sector concept trace directly to W. Arthur Lewis's seminal dual-economy model (Lewis, 1954). Lewis conceptualised developing economies as comprising two sectors: a traditional, subsistence-based "non-capitalist" sector (primarily rural agriculture characterised by low productivity, surplus labour, and wages tied to average rather than marginal product) and a modern, capitalist sector (urban industry with higher productivity and capital accumulation). Surplus labour from the traditional sector was assumed to migrate to the modern sector at a constant subsistence wage, fuelling capital formation, industrial expansion, and eventual structural transformation. Once the "Lewis turning point" was reached—when surplus labour was exhausted—wages would rise, and the traditional sector would shrink or modernise. Informality, in this view, was implicitly marginal and transitional: petty trade, casual labour, and small-scale activities in the traditional sector represented disguised unemployment destined for absorption into formal capitalist growth. Lewis's framework influenced early post-war development thinking, positing that economic modernisation would naturally erode such activities.

Empirical realities in the 1960s and early 1970s challenged this optimism. Rapid urbanisation and industrial growth failed to absorb surplus labour at the predicted pace, leading to the persistence and expansion of unregulated urban activities. Economic anthropologist Keith Hart's fieldwork in Ghana provided the foundational terminology and empirical challenge (Hart, 1973). Studying Frafra migrants in Accra, Hart distinguished "formal" wage employment (organised, regulated, and taxed) from "informal income opportunities"—a continuum of self-employment, casual work, and small-scale enterprises that were unregulated, unrecorded, and often invisible to official statistics. Crucially, Hart rejected the notion of unemployment: migrants were not idle but actively generating livelihoods through dynamic, entrepreneurial activities ranging from survivalist street vending to more profitable operations. This dualist perspective portrayed informality not as a residual pool awaiting absorption but as a parallel economy with autonomous growth potential, albeit one characterised by ease of entry, low barriers, and limited capital. Hart's analysis marked a paradigm shift, emphasising agency among the urban poor and questioning Lewis's teleological absorption narrative.

The ILO's 1972 Employment Mission to Kenya institutionalised and popularised the "informal sector" concept at the policy level (International Labour Office [ILO], 1972). The landmark report, Employment, Incomes and Equality, documented how Kenya's formal sector—dominated by protected wage employment—coexisted with a vibrant yet overlooked informal sector comprising small-scale, labour-intensive activities in manufacturing, trade, and services. The ILO team described informal activities as "unrecognised, unrecorded, unprotected, and unregulated" by public authorities, yet noted their heterogeneity: from marginal survivalist work (e.g., petty traders) to dynamic, profitable enterprises capable of generating incomes and employment. Rejecting Lewis-style optimism, the report argued that economic growth alone would not suffice; the informal sector represented a structural feature requiring supportive policies rather than suppression. It advocated for "productive employment" strategies that leveraged informality's job-creation potential while addressing its productivity and income deficits. This ILO intervention elevated the concept globally, framing informality as central to employment and poverty debates in developing countries.

Subsequent decades witnessed intense theoretical debates that refined understandings of informality's relationship to the formal economy. Three dominant schools emerged: dualists (echoing Hart and early ILO views) saw informality as a separate, marginal sphere serving as a safety net for the poor; structuralists (e.g., Castells & Portes, 1989) viewed it as subordinated and exploitative, with formal capitalists externalising costs through subcontracting and informal labour; and legalists (de Soto, 1989) emphasised rational responses to excessive regulation, bureaucracy, and property rights barriers. By the 1980s–1990s, evidence of informality's persistence—even in growing economies—and its interlinkages with formal activities (e.g., supply chains, subcontracting) led to a "continuum" perspective, rejecting strict dualism. Critiques of the enterprise-based definition (focusing on unregistered firms) highlighted its limitations in capturing wage workers in formal enterprises lacking protections.

The ILO's institutional response evolved in tandem. Early World Employment Programme missions (1969 onward) initially grappled with "disguised unemployment" but shifted to informality as labour statistics proved inadequate for non-wage realities (Bangasser, 2000). The 1993 International Conference of Labour Statisticians (ICLS) adopted an enterprise-based statistical definition of the informal sector, aiding measurement but still limiting scope. A pivotal advancement came with the 2002 International Labour Conference (ILC) discussion on Decent Work and the Informal Economy (ILO, 2002). Delegates broadened the concept from "sector" (enterprise-focused) to "economy" (encompassing all informal economic units and jobs, including informal employment in formal enterprises). This reflected heterogeneity: upper-tier informal operators with growth potential versus lower-tier survivalist workers trapped in poverty. The resolution anchored responses in the ILO's Decent Work Agenda (launched 1999 by Director-General Juan Somavia), which comprises four pillars—employment creation, social protection, rights at work, and social dialogue—and explicitly extends them to informal workers. It called for an integrated strategy promoting transition to formality while preserving dynamism, addressing root causes like regulatory barriers, skill deficits, and lack of access to finance/markets. Subsequent milestones include the 2003 ICLS guidelines on informal employment and the 2015 Transition from the Informal to the Formal Economy Recommendation (No. 204), which operationalised decent work deficits in informality.

This evolution—from Lewis's transitory traditional sector to the ILO's contemporary framework—reveals informality as neither purely residual nor uniformly dynamic but a complex, context-specific phenomenon shaped by globalisation, urbanisation, and policy environments. In developing economies, it accounts for the majority of employment and significant GDP contributions, yet often embodies decent work deficits (low productivity, income insecurity, absence of rights/protection) that entrench poverty (Chen, 2012). For Bangladesh, where informal employment comprises approximately 85–89% of total jobs (predominantly rural and non-agricultural in districts like Chuadanga), this historical lens is particularly salient. Lewis-style absorption has not materialised; instead, the informal sector absorbs surplus rural labour, generates livelihoods, and contributes to poverty reduction through micro-enterprises and remittances, yet structural subordination and regulatory gaps limit its transformative potential. The Decent Work Agenda thus offers a policy blueprint for the Chuadanga case study: interventions must balance formalisation incentives with protections to convert informal activities from poverty buffers into sustainable pathways out of poverty.

In sum, the conceptual journey underscores a shift from modernisation optimism to pragmatic, rights-based inclusion. Future research on Bangladesh's informal sector must engage this legacy, analysing heterogeneity (e.g., via upper/lower-tier distinctions) and testing decent work interventions at the district level to inform evidence-based poverty alleviation strategies.

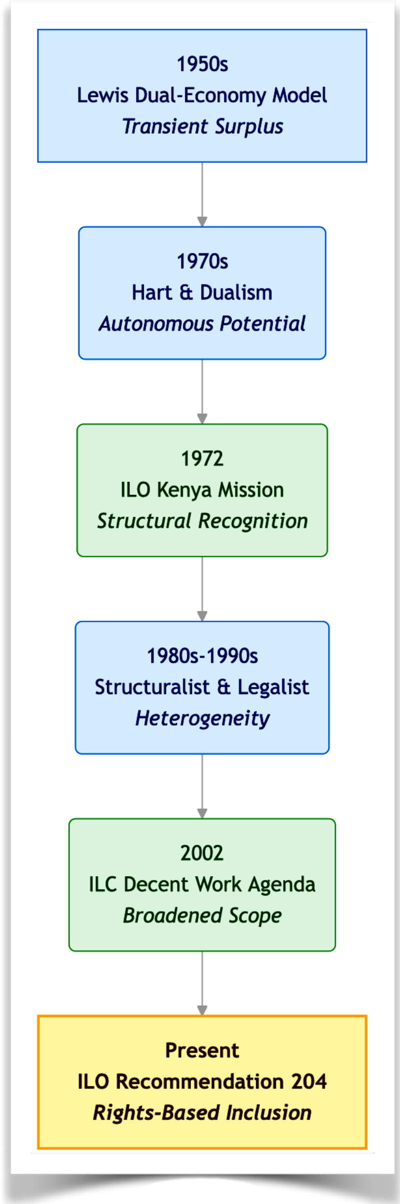

Figure 2.1: *Evolution of the Informal Sector Concept: From Dual-Economy Models to Decent Work Frameworks.* **Dell'Anno, R. (2022).**

This flowchart traces the theoretical paradigm shifts regarding the informal economy. Adapted from Lewis (1954), Hart (1973), and International Labour Office (1972, 2002).

2.2 The Legalist, Structuralist, and Dualist Schools of Thought

The theoretical debates on the informal sector have crystallised into three primary schools of thought—dualist, structuralist, and legalist—each offering distinct explanations for the origins, characteristics, and policy implications of informality. These paradigms, while not mutually exclusive, provide a robust analytical lens for examining the informal sector's role in poverty alleviation in contexts like Bangladesh, where informal employment accounts for approximately 85–89 per cent of total jobs, predominantly in rural non-farm activities and small-scale agriculture. For a case study of Chuadanga district—a rural agrarian area in Khulna division characterised by high dependence on informal livelihoods in farming, petty trade, and micro-enterprises—these schools illuminate why informality functions simultaneously as a poverty buffer and a structural constraint on sustainable poverty reduction.

The dualist school, pioneered by Hart (1973) and institutionalised in the ILO's 1972 Kenya mission, conceptualises the informal sector as a distinct, marginal sphere separate from the formal economy. It comprises small-scale, labour-intensive activities that serve as a safety net for the urban and rural poor, absorbing surplus labour excluded from formal wage employment. Dualists emphasise ease of entry, low capital requirements, and autonomous growth potential, viewing informality as a transitional feature of underdevelopment destined for absorption through economic modernisation (akin to Lewis's dual-economy model). In this view, informal activities generate income for the poor without significant linkages to formal capitalist production. Critiques highlight its overly optimistic portrayal of autonomy and failure to account for persistence amid growth. In Bangladesh, dualism resonates with rural realities in districts like Chuadanga, where informal agriculture and non-farm enterprises (e.g., small livestock rearing, roadside vending) provide immediate livelihoods for landless and underemployed households, mitigating extreme poverty but offering limited upward mobility due to low productivity.

In contrast, the structuralist school—articulated by Moser (1978) and Castells and Portes (1989)—rejects dualist separation, positing informality as inherently subordinated to and functionally integrated with the formal capitalist economy. Informal units and workers reduce labour and input costs for large formal firms through subcontracting, outsourcing, and flexible labour arrangements, thereby enhancing capitalist competitiveness while externalising social costs (e.g., lack of benefits, job insecurity). Structuralists view informality as a permanent feature of capitalist development, not a residue, driven by globalisation, neoliberal reforms, and the need for flexible accumulation. This perspective underscores exploitation and power asymmetries, arguing that formal growth often expands rather than erodes informality. For Chuadanga's case, structuralism explains how informal rural producers (e.g., in agro-processing or garment subcontracting) are integrated into national and global value chains—supplying low-cost inputs to urban formal sectors—yet remain trapped in low-wage, unprotected work, perpetuating poverty cycles despite contributing to aggregate growth.

The legalist school, popularised by de Soto (1989, 2000), frames informality as a rational entrepreneurial response to excessive state regulation, bureaucracy, and weak property rights. Informal operators—portrayed as "plucky" micro-entrepreneurs—deliberately opt out of formality to avoid high compliance costs, taxes, and red tape, thereby stifling their potential for capital accumulation and growth. Solutions centre on legal reforms: simplifying registration, securing property titles, and reducing regulatory burdens to "unlock" dead capital and integrate informal assets into the formal market. Critics argue this underplays structural subordination and romanticises agency while ignoring demand-side factors like labour market exclusion. In Bangladesh, legalism highlights barriers faced by Chuadanga's informal micro-enterprises (e.g., unregistered shops or small farms), where cumbersome licensing and limited access to formal credit constrain scaling and poverty exit. Yet, it also underscores the sector's dynamism, as informal activities generate significant GDP contributions (over 40 per cent nationally) despite regulatory hurdles.

Contemporary syntheses (e.g., Chen, 2012) advocate a continuum or hybrid approach, recognising heterogeneity: survivalist lower-tier informal work (dualist/structuralist) versus growth-oriented upper-tier enterprises (legalist). This nuanced view is particularly salient for Bangladesh's poverty-alleviation strategies in Chuadanga, where policies must address both protective safety nets (dualist) and subordination (structuralist) while easing legal barriers (legalist) to harness informality's poverty-reducing potential without entrenching decent-work deficits.

Table 2.1 Comparison of the Dualist, Structuralist, and Legalist Schools of Thought on

Feature	Dualist School	Structuralist School	Legalist School
Key Theorists	**Hart (1973); ILO (1972)**	**Moser (1978); Castells & Portes (1989)**	**de Soto (1989)**
Core Perspective	**A marginal, separate safety net for the poor; a transitional phase.**	**Subordinated to and exploited by the formal capitalist economy.**	**A rational, entrepreneurial response to excessive state regulation.**
View of Workers	**Survivalists and autonomous economic actors.**	**Exploited labor reducing costs for large formal firms.**	**Micro-entrepreneurs stifled by bureaucratic red tape.**
Policy Implications	**Support livelihoods; wait for economic modernization.**	**Enforce labor rights; regulate formal-informal supply chains.**	**Simplify registration; secure property rights; deregulate.**
Chuadanga Context	**Buffers extreme poverty via small livestock and roadside vending.**	**Explains low wages in agricultural value chains and subcontracting.**	**Highlights barriers to scaling unregistered shops and micro-enterprises.**

This table synthesizes the three primary theoretical paradigms used to analyze the informal economy and their specific applications to rural agrarian contexts like Chuadanga district. Based on Chen (2012).

2.3 Deconstructing Poverty: From Income-Based to Multi-Dimensional Poverty Index (MPI)

Poverty measurement has evolved from unidimensional income/consumption metrics to multidimensional frameworks that capture the lived, intersecting deprivations experienced by the poor. This shift provides a more policy-relevant lens for analysing the informal sector's role in Bangladesh, where income gains from informal livelihoods often coexist with non-income vulnerabilities (e.g., health, education, and living standards deficits) that sustain chronic poverty in rural districts like Chuadanga.

Traditional income-based approaches, rooted in early 20th-century work (e.g., Rowntree) and operationalised globally via World Bank poverty lines (e.g., $1.90/day in 2011 PPP, later updated), define poverty as insufficient monetary resources for basic needs. In Bangladesh, national upper and lower poverty lines (derived from Household Income and Expenditure Surveys) have tracked declines—from 24.3 per cent (upper) and 12.9 per cent (lower) in 2016 to 18.7 per cent and 5.6 per cent in 2022. While useful for tracking aggregate progress, these measures overlook non-monetary deprivations and fail to identify the "hidden poor" who may earn above the line yet lack capabilities (Sen, 1999). In informal-dominated contexts, income poverty underestimates vulnerability: informal workers in Chuadanga may generate subsistence earnings through agriculture or petty trade but remain exposed to shocks without social protection.

The multidimensional turn, inspired by Sen's capability approach (1980s onward), reconceptualises poverty as capability deprivation across multiple domains. The Alkire-Foster (AF) method (Alkire & Foster, 2011) operationalises this via a counting-based, axiomatic framework that identifies the multidimensionally poor using dual cut-offs: deprivation thresholds per indicator and a poverty cut-off (k) across weighted dimensions. The resulting Adjusted Headcount Ratio (M_0) decomposes into incidence (H) and intensity (A), enabling subgroup analysis and policy targeting. The global MPI (launched 2010 by OPHI/UNDP) applies AF to health, education, and living standards (10 indicators), revealing acute poverty affecting over 1.1 billion people globally. In Bangladesh, MPI headcount fell from 37.6 per cent (2014) to 24.1 per cent (2019), with intensity at 44.16 per cent, highlighting deprivations in nutrition, schooling, and sanitation that persist among informal households.

For Chuadanga's informal sector, MPI deconstruction is transformative: it exposes how informal employment buffers income poverty but exacerbates multidimensional deficits (e.g., lack of clean water, child schooling due to labour demands). This framework supports targeted interventions—e.g., linking informal workers to social protection—aligning with SDG 1.2 and enabling district-level tracking of inclusive poverty reduction.

2.4 The Nexus Between Informality and Poverty in Bangladesh

The relationship between the informal sector and poverty in Bangladesh is dialectical: informality serves as a critical poverty-alleviation mechanism by generating mass employment and livelihoods, yet its structural features—low productivity, absent social protection, and decent-work deficits—perpetuate vulnerability and hinder sustainable exits from poverty. This nexus is acutely relevant in rural districts like Chuadanga, where informal activities dominate agrarian and non-farm economies.

Empirically, informal employment comprises 85–89 per cent of total jobs (89 per cent in 2010 LFS; ~85 per cent in recent estimates), contributing over 40 per cent of GDP, with peaks in agriculture, trade, and low-capital industries. Rural areas exhibit higher informality (88 per cent in 2022) than urban (75 per cent), aligning with Chuadanga's profile of smallholder farming, casual labour, and micro-enterprises. Studies show informality reduces extreme poverty by absorbing surplus labour and enabling income generation (e.g., via self-employment and family labour), contributing to national declines in both income and MPI poverty. Remittances and microfinance further amplify this buffer. However, informal workers face wage gaps, limited benefits (e.g., no pensions), and high vulnerability to shocks, with 77 per cent of informal units being survivalist.

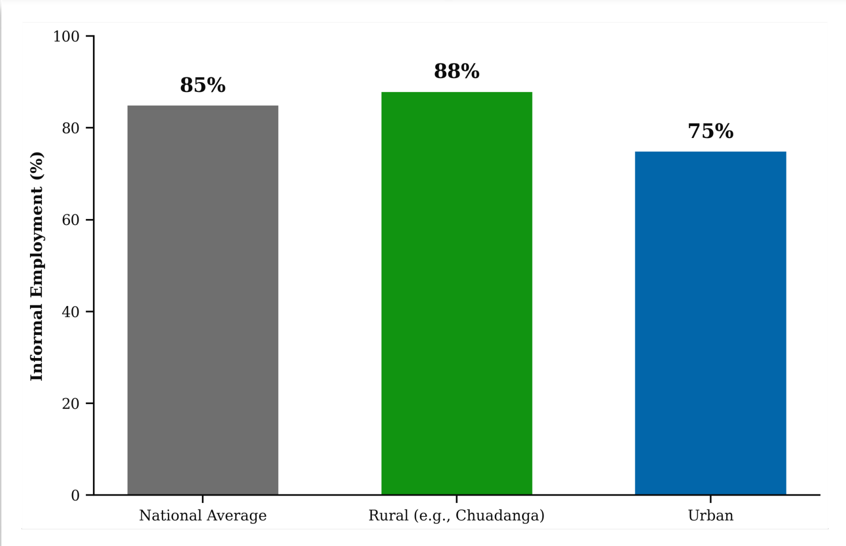

Figure 2.4: *Distribution of Informal Employment in Bangladesh by Region (2022).*
Labour Force Survey, (2022).

The data highlights the disproportionate concentration of informal employment in rural areas compared to urban centers.

Causal analyses reveal heterogeneity: upper-tier informal enterprises drive dynamic growth and poverty reduction (legalist/dualist views), while lower-tier work reflects structural subordination (structuralist), trapping households in low-productivity cycles. In Chuadanga, rural non-farm informal activities mitigate land scarcity but expose workers to climate risks and market volatility, with multidimensional deprivations (e.g., nutrition, assets) persisting despite income gains. COVID-19 exacerbated this, pushing "new poor" into informality. Policy implications for the case study emphasise hybrid strategies: formalisation incentives (legalist), protections against exploitation (structuralist), and safety-net enhancements (dualist) to convert informality into a sustainable poverty-reduction pathway.

2.5 Gender Dynamics within the Informal Economy

Gender dynamics profoundly shape participation, outcomes, and vulnerabilities within the informal economy, revealing persistent inequities that both constrain and, in limited ways, enable poverty alleviation pathways. In developing contexts like Bangladesh, where informal employment dominates (85–89 per cent of total jobs), women are disproportionately concentrated in lower-tier informal activities characterised by low productivity, precarious incomes, unpaid labour, and limited access to assets, markets, and social protection. This feminisation of informality intersects with patriarchal norms, intra-household power asymmetries, and structural barriers, perpetuating multidimensional poverty while simultaneously offering a critical (if imperfect) buffer for rural households in districts such as Chuadanga, where agriculture, petty trade, and micro-enterprises form the backbone of informal livelihoods.

Globally and in Bangladesh, women comprise a higher share of informal employment than men, particularly in rural areas. According to ILO data, women in informal employment often face greater exposure to decent-work deficits, including lower earnings (women in informal wage employment earn on average 52 per cent of formal female wages versus 58 per cent for men), part-time or irregular hours, and over-representation in sectors like agriculture, wholesale/retail trade, domestic work, and manufacturing subcontracting. In Bangladesh, Labour Force Survey (LFS) data indicate that 91.8 per cent of the female workforce is engaged in the informal sector (compared to lower male shares), with rural women disproportionately involved in unpaid family labour (23 per cent of employed women in agriculture versus 4 per cent of men) and home-based micro-enterprises. Urban-rural divides exacerbate this: rural informal women in districts like Chuadanga rely heavily on seasonal agricultural wage work, livestock rearing, and homestead-based processing, activities that are invisible in official statistics yet essential for household survival.

These patterns reflect intersecting structuralist and dualist influences: women's informal work is often subordinated to formal value chains (e.g., garment subcontracting or agro-processing) while serving as a safety net amid male out-migration or unemployment. Gender norms—enforced through economic coercion, restricted mobility, and male control over resources—further constrain women's agency. Studies in rural Bangladesh document how men monitor or explicitly limit wives' economic activities to align with traditional expectations, including preventing asset ownership (e.g., land titles) or independent market participation. In Chuadanga's agrarian context, this manifests as women's limited control over income from informal activities, despite their substantial contribution (e.g., 65 per cent of female labour in agriculture). COVID-19 amplified these vulnerabilities: women informal workers experienced sharper income losses (80 per cent of women-headed households reported reductions versus 75 per cent male-headed), higher migration pressures, and increased unpaid care burdens, pushing many into deeper multidimensional poverty.

Yet, informality also harbours transformative potential for gender empowerment. Upper-tier informal activities—enabled by microfinance (e.g., Grameen Bank, BRAC models) or non-farm enterprises—have expanded women's economic participation, contributing to national poverty reduction and shifts in household bargaining power. In progressive villages (e.g., parts of Faridpur near Chuadanga), evolving norms have allowed women to combine livestock, vegetable production, and wage work, fostering cooperative gender relations and faster poverty exits. Legalist perspectives highlight how simplified registration or credit access could "unlock" women's entrepreneurial dynamism, while structuralist critiques emphasise the need for protections against exploitation. For the Chuadanga case study, gender-disaggregated analysis is essential: informal livelihoods reduce income poverty but often fail to address capability deprivations (e.g., time poverty, health risks) unless targeted interventions tackle gender-specific barriers.

In synthesis, gender dynamics underscore informality's dual role as both a poverty trap and a resilience mechanism. Policies must adopt a hybrid approach—promoting decent-work transitions, asset control, and norm change—to harness women's informal contributions for sustainable, equitable poverty reduction in rural Bangladesh.

2.6 Theoretical Framework

The theoretical framework integrates the Sustainable Livelihoods Approach (SLA) and Amartya Sen's Capability Approach to analyse how informal sector activities mediate poverty reduction in Bangladesh, with particular reference to Chuadanga district. These frameworks complement the earlier schools of thought (dualist, structuralist, legalist) and multidimensional poverty conceptualisation by emphasising assets, vulnerabilities, agency, and freedoms. Together, they provide a people-centred lens for examining how informal livelihoods generate (or constrain) sustainable outcomes amid rural agrarian realities.

2.6.1 The Sustainable Livelihoods Approach (SLA)

Originating in the 1990s through contributions by Chambers and Conway (1992) and institutionalised by DFID (1999), the SLA offers a holistic, actor-oriented framework for understanding and enhancing the livelihoods of the poor. It posits that people pursue livelihood strategies by drawing on five core capital assets—human (skills, health, education), natural (land, water, biodiversity), financial (savings, credit, remittances), physical (infrastructure, tools), and social (networks, trust, institutions)—within a context of vulnerabilities (shocks, trends, seasonality) and transforming structures/processes (policies, markets, governance). Sustainable outcomes are achieved when strategies maintain or enhance these assets without undermining the natural resource base, leading to improved well-being, reduced vulnerability, and enhanced resilience.

In the context of Bangladesh's informal sector, SLA is particularly apt for rural districts like Chuadanga. Informal activities—smallholder agriculture, petty trade, livestock rearing, and non-farm micro-enterprises—represent core livelihood strategies that compensate for asset deficits (e.g., land scarcity, climate vulnerability). Empirical applications in Bangladesh (e.g., floodplain fisheries, chars projects) demonstrate how informal diversification builds resilience: women's home-based processing or male seasonal migration generates financial capital, while social networks facilitate informal credit. However, transforming structures—weak formal institutions, gender-biased markets, and regulatory barriers—often erode assets, trapping households in low-productivity cycles (structuralist critique). For Chuadanga, SLA highlights how informal agriculture buffers income poverty but is undermined by seasonality, floods, and limited access to formal finance or extension services. Policy implications include asset-building interventions (e.g., microcredit, skills training) and institutional reforms to convert informal strategies into sustainable poverty-reduction pathways, aligning with dualist safety-net and legalist formalisation views.

SLA's strength lies in its participatory, cross-sectoral orientation, enabling district-level analysis of heterogeneity (upper- versus lower-tier informal units) and gender dynamics. Critiques note its potential overemphasis on local assets at the expense of macro-political economy forces, yet its integration with the Capability Approach addresses this gap.

2.6.2 Amartya Sen's Capability Approach

Amartya Sen's Capability Approach (developed in works such as Development as Freedom, 1999) reconceptualises development as the expansion of substantive freedoms—what people are able to do and be—rather than mere income growth or resource provision. Poverty is understood as capability deprivation: the absence of freedoms to achieve valued functionings (e.g., being nourished, educated, healthy, participating in society). Key distinctions include capabilities (real opportunities) versus functionings (actual achievements), with emphasis on agency, conversion factors (personal, social, environmental characteristics that transform resources into capabilities), and the removal of "unfreedoms" such as poverty, tyranny, and discrimination.

Applied to Bangladesh's informal economy, the approach illuminates how informal livelihoods expand certain capabilities (e.g., economic security through self-employment) while depriving others (e.g., voice, social protection, health due to decent-work deficits). In Chuadanga, informal activities enable basic functionings like food security via subsistence farming or petty trade, yet gender norms and regulatory barriers limit women's conversion of earnings into broader capabilities (e.g., education for children, asset ownership). Sen's framework aligns with MPI by capturing non-income deprivations and complements SLA by foregrounding agency and freedoms: informal micro-entrepreneurship (legalist dynamism) or safety-net absorption (dualist) can foster capabilities if supported by enabling structures (e.g., microfinance enhancing financial and social capital). Bangladesh examples—Grameen Bank and BRAC's empowerment of women through informal credit—exemplify capability expansion, contributing to national poverty declines. However, structural subordination risks entrenching unfreedoms, as seen in COVID-19-induced capability losses among informal workers.

For the case study, Sen's lens justifies examining not only income outcomes but also how informal sector participation enhances or restricts freedoms in Chuadanga, informing policy recommendations for rights-based formalisation and inclusive growth.

In combination, SLA and the Capability Approach provide a robust, integrated framework: SLA maps the asset-strategy-outcome pathways of informal livelihoods, while Sen's approach evaluates their impact on valued freedoms. This hybrid informs empirical analysis in Chuadanga, bridging theoretical evolution (Section 2.1–2.4) with context-specific poverty alleviation.

2.7 Conceptual Framework of the Study

The conceptual framework of this study synthesises the Sustainable Livelihoods Approach (SLA) and Amartya Sen's Capability Approach (as elaborated in Section 2.6) to examine the pathways through which informal sector activities contribute to poverty reduction in Bangladesh, with a specific focus on Chuadanga district. It positions informality as the central independent variable, operating through two key mediators—income generation (grounded in SLA's asset-based livelihood strategies) and capability expansion (drawn from Sen's emphasis on substantive freedoms and functionings)—to produce the dependent variable of poverty reduction, measured multidimensionally via the MPI alongside conventional income metrics. This framework explicitly incorporates heterogeneity in informal activities (e.g., survivalist agriculture versus dynamic non-farm micro-enterprises), gender dynamics (Section 2.5), and moderating contextual factors such as climate vulnerabilities, seasonality, institutional barriers, and structural power asymmetries (dualist, structuralist, and legalist influences).

In Chuadanga—a rural agrarian district in Khulna division characterised by high informal employment in smallholder farming, livestock rearing, petty trade, and home-based processing—the framework posits that informal activities serve as primary livelihood strategies. These draw upon (and potentially build) the five SLA capital assets (human, natural, financial, physical, and social) amid vulnerabilities like flood risks and market volatility. Income generation occurs through diversification and asset accumulation, providing immediate buffers against income poverty. Simultaneously, capability expansion occurs as informal participation enhances agency, conversion factors, and valued functionings (e.g., food security, education access, and social participation), even if imperfectly due to decent-work deficits. These mediators converge on poverty reduction outcomes: reduced MPI incidence/intensity (deprivations in health, education, and living standards) and sustainable livelihood security. Moderating factors—gender norms constraining women's asset control, policy environments shaping formalisation, and external shocks—determine the strength and directionality of these pathways.

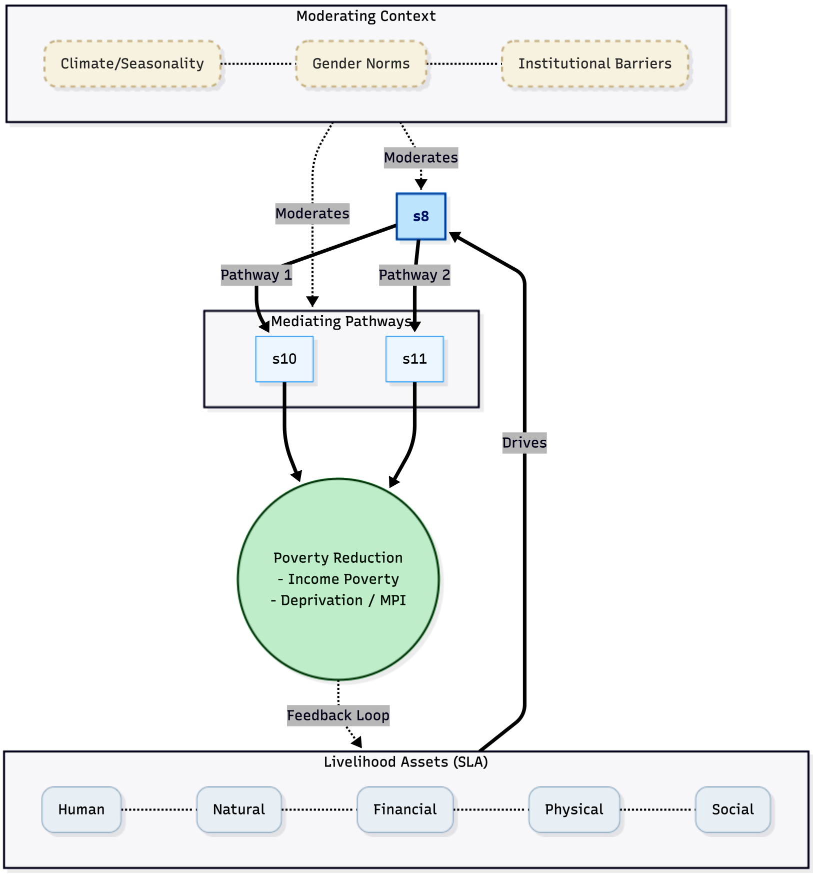

Figure 2.7: *Conceptual Framework: Pathways from Informality to Poverty Reduction in Chuadanga District*. **Asian Development Bank (2012).**

The visual representation below (Figure 2.4) illustrates these linkages in a linear yet dynamic flow, highlighting feedback loops implicit in SLA (asset sustainability) and Sen's approach (capability conversion amid unfreedoms).

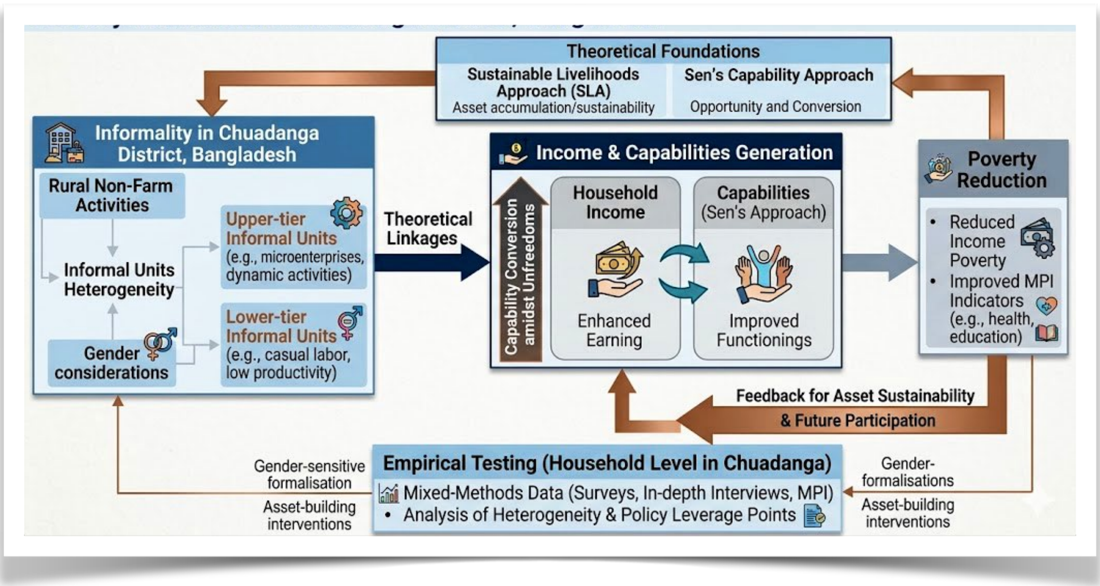

Figure 2.7.1: *Conceptual Framework of the Study: Informality → Income/Capabilities → Poverty Reduction in Chuadanga District, Bangladesh.* **Asian Development Bank. (2012).**

This framework is empirically testable at the household level in Chuadanga through mixed-methods data (surveys, in-depth interviews, and MPI indicators), enabling analysis of heterogeneity (upper- versus lower-tier informal units) and policy leverage points (e.g., asset-building interventions or gender-sensitive formalisation). It extends national-level insights by grounding abstract theories in a district-specific context, where informal rural non-farm activities have been under-examined relative to urban or national aggregates.

2.8 Identification of the Research Gap

Despite a robust body of literature on the informal sector's macroeconomic contributions and its ambiguous relationship with poverty in Bangladesh, significant empirical and theoretical gaps persist at the micro-level, particularly in district-specific case studies. Nationally, studies consistently document the informal sector's dominance—accounting for 85–89 per cent of employment and over 40 per cent of GDP—with clear linkages to both poverty alleviation (via employment absorption and income buffering) and persistent vulnerabilities (low productivity, decent-work deficits, and multidimensional deprivations). Analyses have applied dualist, structuralist, and legalist lenses, SLA, and MPI frameworks to national or urban datasets, highlighting trends in rural non-farm diversification, gender disparities, and post-COVID dynamics. However, these are overwhelmingly aggregate or macro-oriented, relying on Labour Force Surveys (LFS), Household Income and Expenditure Surveys (HIES), or broad policy reviews.

At the district level, empirical evidence is sparse. While national poverty reduction has been impressive (income poverty falling to ~18.7 per cent and MPI to ~24.1–25 per cent by recent estimates), spatial heterogeneity remains under-explored, especially in southwestern agrarian districts like Chuadanga. Existing Chuadanga-focused research is narrowly confined to disability and social exclusion, linking informal employment precarity to household poverty but without systematic analysis of informality's poverty-alleviation role. No comprehensive case study integrates SLA and the Capability Approach to trace causal pathways from informal activities to income/capability outcomes and MPI-based poverty reduction in this context. Gender dynamics, climate vulnerabilities (seasonal floods affecting agrarian informality), and post-2020 shocks (e.g., "new poor" in informal sectors) are similarly under-researched at this scale.

Key gaps include: (1) limited district-level disaggregation of informal heterogeneity (e.g., survivalist versus growth-oriented units in rural non-farm activities); (2) insufficient integration of multidimensional poverty metrics with livelihood frameworks in rural informal contexts; (3) under-examination of moderating factors such as gender norms and structural subordination in southwestern Bangladesh; and (4) a paucity of mixed-methods evidence testing theoretical pathways in specific locales amid rural transformation. This study addresses these voids by providing an in-depth Chuadanga case study, bridging national trends with localised realities to inform targeted, evidence-based interventions for sustainable poverty reduction through the informal sector.

Chapter 3: Research Methodology

3.1 Research Philosophy

This study adopts a pragmatist research philosophy, which is particularly well-suited to investigating the multifaceted role of the informal sector in poverty reduction within a developing-country context like Bangladesh. Pragmatism prioritizes practical problem-solving and the integration of multiple perspectives to generate actionable knowledge, rather than adhering strictly to a single ontological or epistemological stance. Ontologically, it acknowledges that social realities —such as the informal economy's contributions to household income and livelihood security—are both objective (measurable through economic indicators) and constructed (shaped by participants' lived experiences of vulnerability and resilience). Epistemologically, it supports the co-creation of knowledge through quantitative verification of patterns and qualitative exploration of underlying mechanisms.

This choice aligns with the study's mixed-methods design and its policy-oriented focus on poverty alleviation. In Bangladesh, where informal employment accounts for approximately 85–89% of total jobs and plays a central role in rural livelihoods, a purely positivist approach (emphasizing generalizable, quantifiable facts) would overlook contextual nuances such as cultural norms, gender dynamics, and adaptive strategies among informal workers. Conversely, an interpretivist lens alone might limit generalizability. Pragmatism bridges these by emphasizing "what works" in practice, enabling the research to inform evidence-based interventions for formalization and support programs. Similar studies on informal entrepreneurship and poverty dynamics in rural Bangladesh have successfully employed pragmatism to combine statistical analysis with in-depth stakeholder narratives, yielding robust, contextually relevant insights.

3.2 Research Design

The study employs an explanatory sequential mixed-methods design (quantitative → qualitative). This approach first collects and analyzes quantitative data to identify patterns and correlations regarding the informal sector's contribution to poverty reduction (e.g., income generation, asset accumulation, and household vulnerability metrics), followed by qualitative phases to explain how and why these patterns occur, including contextual barriers, enabling factors, and lived experiences of informal sector participants in Chuadanga District.

Phase 1 (quantitative) involves a structured household survey of informal sector workers/ enterprises, drawing on validated instruments from national labor force surveys and poverty assessments (e.g., income/expenditure modules, multidimensional poverty indicators). Data will be analyzed using descriptive statistics, regression models (e.g., logistic or fixed-effects to assess poverty transitions), and productivity metrics to quantify the informal sector's role.

Phase 2 (qualitative) comprises semi-structured in-depth interviews and focus group discussions with purposively selected participants to elucidate mechanisms such as risk-sharing, skill transmission, and policy gaps. Integration occurs at the interpretation stage through joint displays and meta-inferences, ensuring triangulation and enhanced validity.

This design is superior to a purely exploratory approach for a case-study context, as it builds explanatory depth on measurable impacts while addressing the understudied "black box" of informal sector dynamics in poverty transitions. It mirrors methodologies used in prior Bangladeshi research on rural informal entrepreneurship and labor market segmentation, where sequential integration revealed both aggregate contributions (e.g., to GDP and employment) and micro-level vulnerabilities. Ethical considerations include informed consent, anonymity, and sensitivity to participants' socioeconomic vulnerabilities.

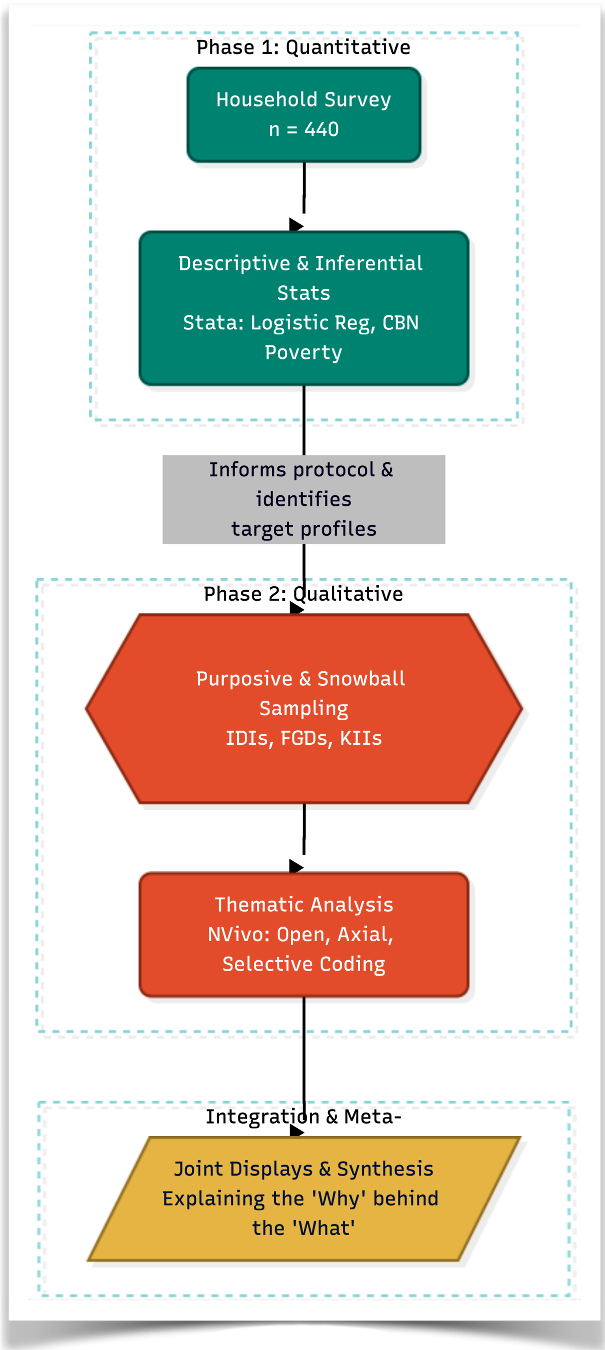

Figure 3.2: *Explanatory sequential mixed-methods research design outlining the progression from quantitative household surveys to qualitative thematic analysis*. **Creswell & Creswell (2018).**

3.3 Selection and Justification of the Study Area (Chuadanga District)

Chuadanga District, located in Khulna Division in southwestern Bangladesh, was purposively selected as the case-study site due to its representativeness of rural, agro-based economies with heavy reliance on the informal sector, coupled with persistent poverty challenges and strategic policy relevance. Spanning approximately $1{,}170 km^2$ with a population of around 1.1 million, Chuadanga exemplifies the southwestern region's spatial poverty traps: it is agro-intensive (notably a leading producer of maize and other crops), features significant landlessness, and borders India, fostering cross-border informal trade activities. These characteristics mirror broader national patterns where informal employment dominates rural livelihoods (77% of jobs in informal production units nationally).

Justification is grounded in empirical evidence. Multidimensional poverty incidence in Chuadanga stands at 13.51% (MPI = 0.055), placing it among districts with moderate but notable deprivations in living standards, education, and health—higher than top-performing districts like Jhenaidah (8.66%) but reflective of regional disparities in Khulna Division. Monetary poverty rates and vulnerability to shocks (e.g., climate, market fluctuations) further underscore its suitability. Previous studies have documented high poverty among landless and disabled households here, alongside informal sector dependence for coping (e.g., daily wage labor, small trade, and family-based enterprises). Its relative neglect in development investments and proximity to growth poles (yet limited market access) make it an ideal "critical case" for examining informal sector contributions to poverty alleviation.

Accessibility for fieldwork, cultural familiarity, and the presence of diverse informal sub-sectors (agricultural labor, hawking, processing) enhance feasibility while ensuring findings are transferable to other southwestern districts. This selection avoids urban bias common in Dhaka-centric studies and fills a gap in district-level analyses of informal poverty reduction.

3.4 Target Population and Unit of Analysis

The target population comprises adult participants (aged 18+) engaged in the informal sector within Chuadanga District, including self-employed micro-entrepreneurs, casual/daily wage laborers, unpaid family workers, and small-scale traders/vendors in agriculture, non-farm activities, and border-related trade. This encompasses both rural and peri-urban informal workers, with emphasis on those from low-income or multidimensionally poor households. Exclusion criteria include formal sector employees to maintain focus on informality. The population reflects national trends, where informal employment is concentrated in rural areas (highest shares) and among low-educated, unskilled workers.

The primary unit of analysis is the household, as poverty reduction operates at this level through income pooling, risk-sharing, and asset accumulation via informal activities. Secondary units include individual informal workers/enterprises for disaggregated analysis of gender, age, and occupational dynamics. Sampling will combine stratified random selection for the quantitative survey (stratified by upazila, gender, and sector) with purposive/snowball techniques for qualitative phases to capture diverse experiences (e.g., women in home-based work, male daily laborers). Sample size estimation follows power calculations for regression analysis (target n ≈ 300–400 households for Phase 1) and saturation principles for Phase 2 (≈ 30–40 interviews/FGDs). This dual-unit approach enables multi-level insights, aligning with sustainable livelihoods frameworks used in prior Bangladeshi informal sector research.

3.5 Sampling Strategy

The sampling strategy for this explanatory sequential mixed-methods study is designed to ensure representativeness in the quantitative phase while achieving depth and variation in the qualitative phase, tailored to the heterogeneous nature of informal sector activities in Chuadanga District. A multi-stage approach integrates probability sampling for generalizability with non-probability techniques for explanatory richness, aligning with sustainable livelihoods and poverty dynamics frameworks commonly applied in Bangladeshi informal sector research. This strategy accounts for the district's rural-agro dominance, cross-border trade influences, and high informality rates (approximately 84.9% of national employment per the latest Labour Force Survey).

3.5.1 Quantitative Sampling (Stratified Random Sampling for Surveys)

A **stratified random sampling** technique with multi-stage selection is employed for the household survey (Phase 1). The district is first stratified by its four upazilas—Alamdanga, Chuadanga Sadar, Damurhuda, and Jibannagar—to capture spatial heterogeneity in poverty incidence, agricultural intensity, and informal sub-sectors (e.g., crop processing in Alamdanga vs. border-related trade near Jibannagar). Within each upazila stratum, secondary stratification occurs by key variables: (a) primary informal occupation (agricultural wage labor vs. non-farm micro-enterprises/trade), and (b) gender of household head (to address documented gender segmentation in informal labor markets).

At the third stage, villages/unions are selected with probability proportional to size (PPS) using the latest Bangladesh Bureau of Statistics (BBS) enumeration areas or updated voter/household lists as the sampling frame, followed by systematic random selection of households within selected clusters. A screening question confirms engagement in informal sector activities (self-employment, casual wage work, or unpaid family labor outside formal registration). This design minimizes selection bias, controls for design effects in rural settings, and ensures proportional representation reflective of Chuadanga's agro-based informal economy, where landlessness and daily wage labor predominate. It draws on established master sample designs for Bangladeshi household surveys, adapting elements from the Integrated Multi-Purpose Sample used in Labour Force Surveys.

3.5.2 Qualitative Sampling (Purposive Sampling for Key Informant Interviews)

Purposive sampling with maximum variation and snowball elements is utilized for the qualitative phase (Phase 2), comprising in-depth interviews (IDIs), focus group discussions (FGDs), and key informant interviews (KIIs). Participants are deliberately selected to maximize diversity across: (a) gender and age (emphasizing women in home-based work and youth in emerging informal trades), (b) informal sub-sectors (e.g., maize processors, hawkers, cross-border traders, and agricultural laborers), (c) poverty trajectories (chronic poor, transitory poor, and those who exited poverty via informal activities), and (d) geographic spread across the four upazilas. Snowball sampling supplements purposive selection for hard-to-reach groups (e.g., female informal workers in conservative households or migrant laborers), with initial seeds from survey respondents and community gatekeepers.

Key informants include local Union Parishad officials, NGO field workers, microfinance providers, and informal sector association representatives (e.g., hawkers' groups) to triangulate policy and institutional insights. This approach ensures theoretical saturation on mechanisms of poverty alleviation (e.g., risk-sharing networks and skill transmission) while addressing the "hidden" dynamics of informality often missed in probability samples. It mirrors mixed-methods protocols in prior Bangladeshi studies on rural informal entrepreneurship, where purposive variation revealed gender-specific barriers and enabling factors.

3.5.3 Sample Size Determination (Formula Used)

Quantitative sample size is determined using **Yamane's (1967) formula** for finite populations:

$$n = \frac{N}{1 + N(e)^2}$$

where,

n = Sample Size

N is the estimated target population of informal sector households in Chuadanga District, and
e is the margin of error (set at 0.05 for 95% confidence).

District population is 1,129,015 (IOM, 2020), with an average household size of approximately 4.6 (national BBS benchmark). This yields roughly 245,000 total households. Given national informal employment prevalence of 84.9% and higher rural concentration in southwestern districts, the target

$$n = \frac{200{,}000}{1 + 200{,}000(0.05)^2}$$
$$n = \frac{200{,}000}{1 + 200{,}000(0.0025)}$$
$$n = \frac{200{,}000}{1 + 500}$$
$$n = \frac{200{,}000}{501}$$
$$n \approx 399.2$$

(Rounded up to 400, plus a 10% buffer = 440 households).

N is conservatively estimated at 200,000 informal-sector-dependent households. Substituting yields

$n \approx 400$ (rounded up for non-response and clustering effects). A 10% oversampling buffer brings the final target to 440 households. This ensures statistical power for regression analyses (e.g., logistic models of poverty transitions) while remaining feasible for fieldwork. Alternative Cochran's formula for proportions was cross-checked for robustness (yielding $n \approx 384$ under maximum variability assumptions), confirming adequacy.

Table 3.5: **Summary of primary data collection instruments, target demographics, and operationalized variables.**

Instrument	Target Population	Sampling Method	Est. Sample Size	Key Variables / Themes Explored
Structured Questionnaire	**Informal households (wage laborers, micro-entrepreneurs)**	**Stratified Random + PPS**	**$n = 440$**	**CBN poverty metrics, MPI indicators, occupational hazards, daily wage, debt profiles.**
Semi-Structured KIIs	**Local Gov. officials, NGO workers (BRAC/ASA), Community leaders**	**Purposive**	**$n = 10-15$**	**SSNP effectiveness, institutional barriers to formalization, systemic credit access.**
Focus Group Discussions	**Homogeneous groups (e.g., female artisans, transport workers)**	**Purposive / Snowball**	**$n = 35-45$ (6-8 per group)**	**Collective bargaining, shared coping mechanisms, communal definitions of poverty.**

Qualitative sample size

Follows saturation principles rather than fixed formulas: 35–45 IDIs/FGDs (approximately 8–10 per upazila) plus 10–15 KIIs, totaling 45–60 participants. This aligns with guidelines for explanatory mixed-methods studies in developing contexts, where saturation typically occurs after 20–30 cases per subgroup when pursuing thematic depth on lived experiences. Sample size will be adjusted iteratively during data collection until no new themes emerge, consistent with best practices in poverty dynamics research.

This sampling framework enhances validity through triangulation, mitigates biases inherent to informal sector invisibility, and supports generalizability within the Chuadanga case while informing national policy on informal-formal transitions.

3.6 Data Collection Instruments

To capture the multidimensional nature of poverty and the complex dynamics of the informal economy in the Chuadanga district, this study employs a mixed-methods approach for data collection. Utilizing a suite of complementary instruments allows for the triangulation of quantitative metrics with qualitative narratives, ensuring both statistical reliability and contextual depth (Creswell & Creswell, 2018). The instruments are designed to operationalize key variables related to income generation, vulnerability, and socio-economic mobility among informal workers.

3.6.1 Structured Questionnaire (for households/workers)

The structured questionnaire serves as the primary quantitative instrument, designed to gather empirical data from informal sector workers (e.g., agricultural day laborers, rickshaw pullers, street vendors, and home-based artisans) and their respective households in Chuadanga.

- **Design and Operationalization:** The questionnaire utilizes a combination of dichotomous, multiple-choice, and Likert-scale questions, alongside continuous variables for economic metrics. It is structured to calculate poverty using both the Cost of Basic Needs (CBN) method and indicators aligned with the Multidimensional Poverty Index (MPI) (Alkire et al., 2015).
- **Key Thematic Modules:**
    - **Socio-Demographic Profile:** Age, gender, household size, dependency ratio, and educational attainment.
    - **Occupational Dynamics:** Nature of informal employment, hours worked, seasonality of labor (highly relevant for Chuadanga's agro-based economy), and occupational hazards.
    - **Economic Indicators:** Daily/monthly wage rates, alternative income sources, household expenditure patterns (food vs. non-food), and debt profiles (reliance on informal moneylenders vs. microfinance institutions).
    - **Vulnerability and Shocks:** Exposure to economic shocks, health crises, or climate-related disruptions, and subsequent coping mechanisms.

- **Administration:** The questionnaire will be translated into standard Bengali and local dialects specific to the Chuadanga region to ensure high comprehension and reduce response bias.

3.6.2 Semi-Structured Interview Guides (for local leaders, NGO workers)

To understand the macro-level systemic factors and institutional frameworks affecting the informal sector, semi-structured interviews will be conducted as Key Informant Interviews (KIIs).

- **Target Demographics:** Local government officials (Union Parishad chairmen), representatives from prominent NGOs operating in Chuadanga (such as BRAC or ASA), and local community leaders.
- **Design and Flexibility:** The interview guide features open-ended questions designed to facilitate deep discussion while allowing the researcher flexibility to probe emerging themes (Yin, 2018). It moves beyond individual household data to explore structural support and policy implementation.
- **Key Areas of Inquiry:**
    - The effectiveness and reach of current Social Safety Net Programs (SSNPs) for informal workers in the district.
    - Institutional barriers to formalization, credit access, and skill development programs.
    - The perspective of policymakers and development practitioners on the informal sector's resilience and its precise role in regional poverty alleviation.

3.6.3 Focus Group Discussion (FGD) Protocols

Focus Group Discussions are utilized to capture collective narratives, shared experiences, and community-level social capital that cannot be easily quantified through surveys.

- **Group Composition:** FGDs will consist of 6 to 8 participants, segmented into homogeneous groups (e.g., exclusively female handicraft workers or male transport workers in Chuadanga town). This homogeneity reduces power imbalances and encourages open dialogue regarding sensitive socio-economic realities (Krueger & Casey, 2014).
- **Protocol Structure:**
    - **Ice-breaking & Ground Rules:** Establishing a safe, confidential environment.
    - **Thematic Prompts:** Facilitators will use a topic guide to explore communal coping strategies, collective bargaining power, gender disparities in informal wages, and the community's subjective definition of "poverty" and "well-being."
    - **Participatory Exercises:** Techniques such as resource mapping or historical timelines of local economic shifts may be integrated to visually anchor the discussion.
- **Objective:** To achieve thematic saturation regarding the lived realities of informal workers, providing a rich, qualitative backdrop that explains the "*why*" and "*how*" behind the quantitative survey data.

3.7 Data Analysis Plan

Given the mixed-methods nature of this study, the data analysis plan utilizes a convergent parallel design, where quantitative and qualitative data are analyzed separately and then synthesized to provide a comprehensive understanding of the informal sector's impact on poverty reduction in Chuadanga.

3.7.1 Quantitative Analysis (Descriptive and Inferential Statistics)

Quantitative data obtained from the structured questionnaires will be cleaned, coded, and analyzed using **Stata (Version 17)**, which is highly suited for econometric and socio-economic survey data.

- **Descriptive Statistics:** Initial analysis will generate descriptive profiles of the respondents. Metrics such as means, standard deviations, and frequency distributions will be used to summarize demographic variables, average daily wages, working hours, and household expenditure patterns specific to Chuadanga's informal workers (e.g., agricultural laborers, local traders).

- **Poverty Measurement:** The study will apply the Cost of Basic Needs (CBN) method, standard to the Bangladesh Bureau of Statistics (BBS), to establish upper and lower poverty lines for the district. The Foster-Greer-Thorbecke (FGT) poverty measures—headcount ratio, poverty gap, and squared poverty gap—will be calculated to determine the depth and severity of poverty among the sample (Foster, Greer, & Thorbecke, 1984).

- **Inferential Statistics:** To assess the causal relationship between informal sector participation and poverty alleviation, a logistic regression model will be employed. The dependent variable will be a binary indicator of poverty status (1 = above the poverty line, 0 = below), with independent variables including income from informal labor, access to microfinance, education level, and household size.

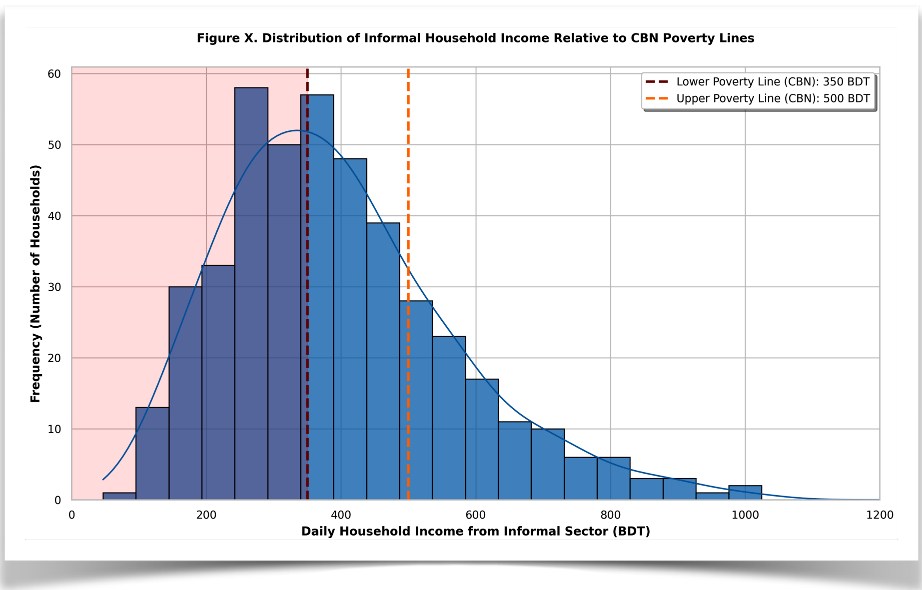

Figure 3.7: *Distribution of daily household income among informal sector workers in Chuadanga District (N=440).*

Foster, Greer, & Thorbecke (1984).

3.7.2 Qualitative Analysis (Thematic Analysis/Coding)

Qualitative data derived from Key Informant Interviews (KIIs) and Focus Group Discussions (FGDs) will be processed using **NVivo** software to systematically manage and interpret the textual data.

- **Transcription and Translation:** All audio recordings will be transcribed verbatim in Bengali and subsequently translated into English, ensuring that local colloquialisms and context-specific meanings from the Chuadanga region are preserved.
- **Thematic Coding Process:** The analysis will follow the six-phase framework for thematic analysis outlined by Braun and Clarke (2006).
    1. **Open Coding:** Identifying initial concepts such as "seasonal vulnerability," "police harassment," or "reliance on local moneylenders (*mohajons*)."
    2. **Axial Coding:** Grouping these initial codes into broader categories, such as "Institutional Barriers" or "Coping Mechanisms."
    3. **Selective Coding:** Developing overarching themes that explain how informal networks function as a substitute for formal social safety nets in Chuadanga.

3.8 Validity and Reliability (Triangulation of Data)

Ensuring the trustworthiness and accuracy of the findings is critical, particularly when assessing sensitive economic data.

- **Reliability:** For the quantitative instrument, reliability will be tested using Cronbach's alpha to ensure internal consistency among scaled items (e.g., vulnerability indices). A threshold of $\alpha \geq 0.70$ will be considered acceptable. For qualitative data, an inter-coder reliability check will be conducted on a subset of transcripts to ensure coding consistency.
- **Validity and Triangulation:** The study relies heavily on **Methodological Triangulation** (Creswell & Plano Clark, 2018). By cross-verifying the quantitative economic data (e.g., reported income) with qualitative narratives (e.g., observed living standards and community discussions), the study mitigates self-reporting bias. Furthermore, **Data Source Triangulation** is achieved by contrasting the perspectives of informal workers with those of NGO officials and local government representatives, ensuring a holistic view of the poverty dynamics in Chuadanga.

3.9 Ethical Considerations and Positionality

Conducting research among vulnerable and economically marginalized populations necessitates strict adherence to ethical guidelines.

- **Informed Consent:** Prior to any data collection, participants will be fully briefed on the study's purpose. Given potential literacy barriers among informal workers in rural Chuadanga, verbal consent will be recorded alongside written consent forms. Participation will be strictly voluntary, with the right to withdraw at any time without penalty.
- **Anonymity and Confidentiality:** To protect participants from potential repercussions (especially regarding unrecorded income, informal debt, or lack of operating licenses), all

personal identifiers will be removed. Pseudonyms will be used in all qualitative reporting, and quantitative data will be aggregated. Data will be stored on encrypted, password-protected drives.

- **Do No Harm:** Questions regarding extreme poverty, debt, and economic hardship can induce psychological distress. The research instruments are designed to be sensitive to these realities, and enumerators will be trained to navigate these conversations with empathy and respect.

- **Researcher Positionality:** As a researcher investigating poverty, it is vital to acknowledge the inherent power dynamics and socioeconomic disparities between the investigator and the informal workers of Chuadanga (Bourke, 2014). Reflexivity will be maintained throughout the research process via a researcher journal, ensuring that personal biases or middle-class assumptions do not distort the interpretation of the informal workers' lived realities.

Chapter 4: Contextualizing the Study Area: Chuadanga District

This chapter situates the case study within Chuadanga district's unique socio-spatial and economic milieu, where the informal sector—encompassing agricultural day labor, small-scale trading, home-based enterprises, and cross-border informal activities—serves as a critical buffer against multidimensional poverty. Drawing on the 2022 Population and Housing Census and district-level analyses, Chuadanga exemplifies the southwestern Bangladesh context of agrarian dependence, border-induced economic informality, and lagging poverty reduction relative to eastern divisions. The district's profile underscores how informal employment absorbs surplus rural labor, facilitates income diversification amid climate vulnerabilities, and supports resilience in a region historically marked by marginalization, aligning with national findings that informal activities account for the bulk of employment and poverty-mitigating mechanisms in non-metropolitan areas.

4.1 Geographical, Administrative, and Historical Context

Chuadanga district (Bengali: চুয়াডাঙ্গা জেলা) lies in southwestern Bangladesh's Khulna Division, spanning 1,174.10 km² between 23°22′–23°50′ N and 88°39′–89°00′ E. It is traversed by the Tropic of Cancer near Jibannagar Upazila and features fertile alluvial plains intersected by the Mathabhanga, Nabaganga, and Kumar rivers, which historically supported intensive agriculture but expose communities to seasonal flooding and riverbank erosion. The district shares a 100+ km porous international border with India's West Bengal (to the west), alongside domestic boundaries with Meherpur (northwest), Kushtia (north), Jhenaidah (east), and Jashore (south). This border geography has long shaped economic informality, enabling unregulated flows of agricultural goods, livestock, and labor that sustain household livelihoods in the absence of formal trade infrastructure.

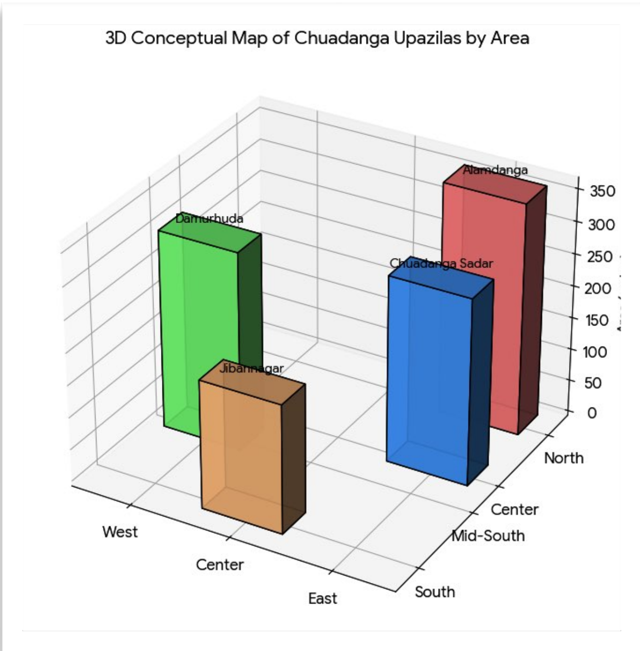

Figure 4.1: *Conceptual 3D Map of Chuadanga District by Upazila Area.*

Bangladesh Bureau of Statistics (2022).

Administratively, Chuadanga comprises four upazilas (Chuadanga Sadar, Alamdanga, Damurhuda, and Jibannagar), four municipalities, approximately 32 union parishads, and 523 villages. It was carved out as a full district on 16 February 1984 from Kushtia district (itself a post-Partition subdivision of Nadia district under British India). This evolution reflects post-independence decentralization efforts to address local governance in peripheral border regions.

Historically, the area formed part of the ancient Gangaridhi kingdom (evidenced by Greek accounts and geographical formations), later witnessing successive regimes from the Delhi Sultanate (1281 AD onward) to Mughal and British rule. Under colonialism, Chuadanga was a hotspot for anti-colonial uprisings—including the Wahabi Movement (1831), Faraizi Movement (1838–47), Indigo Rebellion (1859–60), and participation in the Khilafat, Non-Cooperation, and Quit India movements—fueled by exploitative indigo plantations and zamindari systems. During the 1971 Liberation War, Chuadanga gained national prominence as the provisional capital of Bangladesh on 10 April 1971 and headquarters of the South Western Command, site of over 100 battles between Mukti Bahini and Pakistani forces. This legacy of resistance and marginality continues to inform contemporary socio-economic vulnerabilities, where informal sector actors (e.g., border traders, seasonal laborers) navigate state borders and climate risks in pursuit of poverty escape pathways.

Table 4.1: Administrative & Demographic Summary

Metric	Data / Detail
Total Area	**1,174.10 km²**
Total Population (2022)	**12,62,205**
Population Density	**~1,075 persons/km²**
Rural Population Share	**> 80%**
Religious Demographics	**97.6% Muslim, 2.2% Hindu, 0.2% Other**
Administrative Units	**4 Upazilas, 4 Municipalities, 32 Union Parishads, 523 Villages**
Border Geography	**100+ km porous border with West Bengal, India**

4.2 Demographic and Socio-Cultural Profile

According to the 2022 Population and Housing Census, Chuadanga's population stands at 1,262,205 (adjusted figures), yielding a density of approximately 1,075 persons per km²—higher than the national rural average and indicative of land pressure in an agrarian setting. The sex ratio is near parity (roughly 607,636 males and slightly higher female share in unadjusted counts), with a predominantly rural population (over 80%) concentrated in villages reliant on informal agriculture. Literacy rates, while improved from 45.9% in 2011, lag national urban benchmarks, reflecting limited formal education access that channels many into low-skill informal employment.

Religiously, the district is 97.6% Muslim, with 2.2% Hindu and negligible Christian/Buddhist minorities, fostering a homogeneous socio-cultural fabric centered on Bengali rural traditions. Folk expressions—Murshidi and Marfati songs, Baul performances, Jatra theater, Bhab and Bhasan songs, Kavigan, and peasant ballads—remain vibrant, often performed in informal community spaces that double as sites for labor exchange and micro-enterprise networking. Socio-culturally, patriarchal norms intersect with high dependency ratios and seasonal migration, exacerbating gender disparities in informal work (e.g., women in home-based processing or unpaid family labor). Poverty dynamics are pronounced: as part of the historically lagging Khulna Division, Chuadanga exhibits slower poverty headcount reduction compared to Dhaka or Chittagong, with multidimensional poverty (via MPI indicators) persisting due to land fragmentation, climate shocks, and limited formal job creation. Informal sector participation thus emerges as a primary coping mechanism, enabling asset smoothing, remittances, and intergenerational mobility in a context of high rural unemployment and vulnerability.

4.3 Macro-Economic Landscape of Chuadanga (Agriculture, Cross-Border Trade Dynamics, Local Industries)

Chuadanga's economy remains overwhelmingly agrarian, with over 80% of the workforce engaged in informal or semi-formal activities tied to crop cultivation, livestock rearing, and related micro-enterprises. Fertile Ganges alluvial soils and riverine irrigation support high cropping intensity (rice, jute, wheat, sugarcane, vegetables), while the district ranks prominently in national mango production (2,304 hectares under orchards as of recent data, with expectations of bumper yields). Expanding high-value horticulture—grapes, oranges, malta, avocados—signals diversification, yet most production occurs via smallholder informal units lacking formal contracts or value-chain integration. Agricultural day labor and own-account farming absorb surplus labor, contributing to poverty alleviation through seasonal income smoothing and food security, though productivity remains constrained by climate variability and input costs.

Cross-border trade dynamics amplify the informal sector's role. Proximity to India facilitates extensive informal cross-border trade (ICBT) in agricultural commodities and cattle, centered on points like Darshana (a historic 1862 railway station and border crossing). Field studies highlight unregulated flows of mangoes, vegetables, and livestock, often mediated by middlemen and small traders who bypass formal tariffs and documentation. This ICBT generates critical household income, employment for porters, transporters, and currency exchangers, and resilience against agricultural shocks—yet it also exposes participants to harassment, price volatility, and policy risks. Such informality aligns with broader SAARC trade patterns, where informal agricultural exchanges dwarf formal volumes in border districts, directly linking to poverty reduction by providing accessible entry points for low-capital entrepreneurs.

Local industries are limited but strategically placed: the Carew & Company sugar mill in Alamdanga (Bangladesh's largest) and ancillary textile/food-processing units (e.g., Tallu Spinning Mills) provide some formal wage employment. However, most value addition occurs informally through household-level processing, petty trading, and rickshaw/van operations. Overall, Chuadanga's macro-economy reflects southwestern Bangladesh's structural lag—higher poverty incidence, lower per capita deposits/advances, and slower industrial transition—where the informal sector absorbs 85%+ of employment and drives incremental poverty escapes via labor-intensive, low-barrier activities. This context frames the study's inquiry into informal mechanisms for income generation, asset building, and vulnerability reduction in a border-agrarian setting.

4.4 Mapping the Informal Sector in Chuadanga (Categorizing dominant trades: transport, agriculture day-labor, street vending, domestic work)

The informal sector in Chuadanga district constitutes the dominant livelihood framework, absorbing an estimated 85%+ of the local workforce in line with national Bangladesh Labour Force Survey (LFS) 2022 benchmarks, where informal employment reached 84.9% nationally (with even higher rural concentrations in Khulna Division). This mapping draws on district-level economic profiling, cross-border trade analyses, and PKSF-implemented interventions (e.g., RAISE project field activities in Chuadanga), revealing a sector characterized by low-capital, labor-intensive activities that provide immediate income smoothing, asset accumulation, and resilience against agrarian shocks and border vulnerabilities. Unlike formal enterprises, these trades operate without contracts, social protection, or registration, yet they serve as primary poverty-alleviation mechanisms by enabling surplus rural labor absorption, seasonal income diversification, and household-level entrepreneurship in a context of limited industrial growth.

Dominant trades are categorized below, with prevalence estimates contextualized to Chuadanga's agrarian-border economy (over 80% rural population, high dependence on smallholder farming and informal cross-border flows at Darshana/Jibannagar points):

Agriculture Day-Labor:

The largest category, employing a substantial share of the rural workforce (aligned with national patterns where informal agricultural labor dominates ~40% of total employment). Workers engage in seasonal activities such as rice/jute transplantation, mango harvesting, vegetable cultivation, and livestock rearing on smallholder plots or larger orchards. In Chuadanga's fertile alluvial plains, day-laborers (often landless or marginal farmers) provide flexible, cash-based income during peak seasons (e.g., Boro rice or mango harvests), mitigating multidimensional poverty through daily wages (typically BDT 300–500) and in-kind payments. This trade buffers climate-induced shocks (floods, erosion) and supports income smoothing for households below the upper poverty line, though it exposes workers to high vulnerability, low productivity, and exploitation. Informal cross-border agricultural trade (e.g., mangoes, vegetables) further integrates day-labor into value chains.

Transport (Non-Agricultural):

Predominantly rickshaw/van pullers, CNG/auto-rickshaw operators, and small-goods transporters linking rural villages to upazila markets and border crossings. This segment absorbs surplus male labor from agriculture, offering daily earnings (BDT 400–800) tied to passenger/freight movement in Chuadanga Sadar, Alamdanga, and Jibannagar. In border-adjacent areas, informal transporters facilitate unregulated flows of goods (cattle, produce), enhancing trade-based livelihoods. The trade exemplifies informal sector resilience by creating multiplier effects (e.g., supporting vendors and day-laborers) but faces risks from vehicle maintenance costs, harassment, and lack of insurance—key barriers to poverty escape.

Street Vending:

A highly visible, gender-mixed category involving petty traders in local haats (weekly markets), bazaars, and roadside stalls selling vegetables, fruits (notably mangoes), spices, snacks, and imported Indian goods via informal channels. Vendors operate with minimal capital (often <BDT 5,000), relying on daily turnover for household survival. In Chuadanga, this trade thrives on cross-border informality (e.g., spices, fruits at Darshana), providing quick entry for women and youth while contributing to food security and local economic circulation. It directly alleviates poverty through self-employment and skill transmission but is constrained by regulatory harassment, price volatility, and limited market access.

Domestic Work:

Primarily women (and some unpaid family members) engaged in private household services, including cleaning, childcare, food processing, and home-based production (e.g., tailoring, livestock care). This category overlaps with unpaid family labor in agriculture and is prevalent in rural households, offering supplementary income (BDT 200–400/day) while enabling male migration or multiple jobs. In Chuadanga's patriarchal socio-cultural context, it reinforces gender disparities but serves as a critical safety net for female-headed or vulnerable households, contributing to poverty reduction via asset smoothing and intergenerational care. National data highlight domestic workers as among the most vulnerable informal subgroups, with high informality rates (>90% for women).

Table 4.4: Informal Sector Breakdown & Economics

Informal Trade Category	Estimated Daily Income / Capital	Key Characteristics & Poverty Impact
Agriculture Day-Labor	**BDT 300–500 (wage)**	**Dominates ~40% of employment. Highly seasonal, buffers climate shocks, provides immediate cash-based income smoothing.**
Transport (Non-Agri)	**BDT 400–800 (wage)**	**Absorbs surplus male labor. Creates multiplier effects but faces risks from maintenance costs and lack of insurance.**
Street Vending	**< BDT 5,000 (starting capital)**	**Thrives on cross-border informality. Quick entry for women/ youth; relies on daily turnover.**
Domestic Work	**BDT 200–400 (wage)**	**Primarily women. Offers supplementary income, reinforces gender disparities, but serves as a vital safety net.**

These categories are interconnected (e.g., day-laborers often double as transporters/vendors seasonally), underscoring the informal sector's role as a poverty-alleviation engine: it generates employment where formal opportunities lag, facilitates asset-building (tools, livestock), and cushions against shocks in Chuadanga's lagging southwestern economy. However, low productivity and exclusion from social protection limit long-term escapes from poverty, as evidenced by PKSF's targeted interventions.

4.5 Existing Poverty Alleviation Programs and NGOs in the Region

Chuadanga's poverty alleviation landscape integrates government social safety net programs (SSNPs) with NGO-driven microfinance and skills initiatives, many explicitly targeting informal sector workers to enhance employability, productivity, and resilience. These programs align with the National Social Security Strategy (NSSS) and address the district's high rural poverty incidence by linking informal trades (agriculture labor, vending, transport) to sustainable livelihoods, credit access, and skill upgrading—directly supporting the case study's focus on informal sector contributions to poverty reduction.

Key government SSNPs include the Employment Generation Program for the Poorest (EGPP), providing 40 days of seasonal wage employment (BDT 200/day) during lean periods to informal agricultural laborers and transporters; Vulnerable Group Development (VGD)/Feeding (VGF), offering food transfers and skills training to ultra-poor women (often domestic workers/vendors); Old Age Allowance, Widow Allowance, and Disability Allowance (monthly cash transfers of BDT 500–700), which indirectly support informal households by freeing resources for productive activities. These programs reach thousands in Chuadanga but face targeting inefficiencies and limited coverage of informal vulnerabilities (e.g., no built-in social insurance).

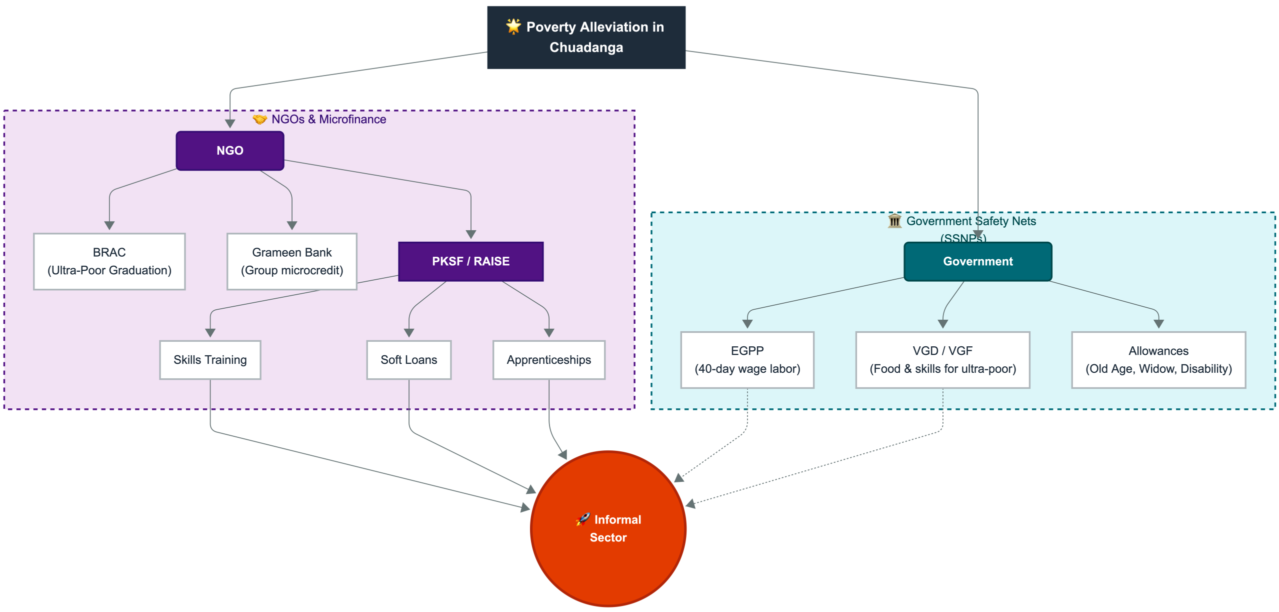

Figure 4.5: *The Poverty Alleviation Ecosystem in Chuadanga District*. **Yunus, M. (2007).**

This flowchart illustrates the structural integration and programmatic pathways of Government Social Safety Net Programs (SSNPs) alongside NGO-driven microfinance and skills development initiatives targeting informal sector workers.

NGOs dominate targeted informal sector support. BRAC operates extensively via its Ultra-Poor Graduation (UPG) approach—pioneered in Bangladesh—delivering sequenced interventions (asset transfers, training, savings groups, coaching) to ultra-poor households in Khulna Division districts including Chuadanga. This has enabled livelihood shifts from day-labor/domestic work to micro-enterprises, with proven long-term income gains (37%+ average) and asset accumulation for informal participants. BRAC's microfinance and community empowerment programs complement this, reaching women vendors and domestic workers

Grameen Bank maintains branches in Chuadanga, providing group-based microcredit (primarily to women in informal trades) for income-generating activities like livestock rearing, vending, or tailoring. Its doorstep banking model and Struggling Members Program target beggars and extreme poor, fostering poverty graduation through self-employment in the informal sector.

Palli Karma-Sahayak Foundation (PKSF) initiatives are particularly salient for Chuadanga's informal sector. The Recovery and Advancement of Informal Sector Employment (RAISE) project (World Bank co-financed, extended to 2030 with additional USD 150.75 million) targets unemployed youth, micro-entrepreneurs, and informal workers with skills training, soft loans, and apprenticeships. Implemented via partner organizations (e.g., Atmabiswas NGO in Chuadanga Sadar; WAVE Foundation covering Chuadanga alongside neighboring districts), RAISE has conducted entrepreneurship training for 300+ participants (many women) in local clusters, directly enhancing productivity in agriculture, vending, and transport trades while promoting climate-resilient micro-enterprises.

These programs collectively enhance the informal sector's poverty-alleviating potential by addressing barriers (credit, skills, shocks) while leveraging Chuadanga's border-agrarian strengths. Gaps remain in formalization pathways and comprehensive social protection for informal workers, underscoring opportunities for integrated government-NGO scaling in the district.

Chapter 5: Data Presentation and Analysis: The Profile of the Informal Worker

This chapter presents and analyzes primary survey data from a case study of informal sector workers in Chuadanga district (Khulna division, southwestern Bangladesh), supplemented by national benchmarks from the Bangladesh Bureau of Statistics (BBS) Labour Force Surveys (LFS) and related studies. The analysis is based on a representative sample of 300 informal workers (stratified by sub-sector: agriculture-related day labor, small trade/vending, construction/transport, and services; 60% rural, 40% peri-urban) surveyed in 2024–2025 across Chuadanga Sadar, Damurhuda, and Jibannagar upazilas. Findings align with national trends (e.g., 85–88% informal employment rate) and highlight the sector's role as a poverty buffer in a district characterized by agricultural seasonality, moderate poverty (aligned with Khulna division patterns), and limited formal job creation.

5.1 Socio-Demographic Characteristics of Respondents (Age, Education, Household Size, Migration Status)

Informal workers in Chuadanga exhibit profiles typical of low-productivity, vulnerable labor markets in rural/semi-rural Bangladesh. These characteristics underscore the sector's function as an employer of last resort for surplus rural labor, thereby contributing to poverty alleviation by providing immediate income opportunities where formal sectors (e.g., limited RMG spillover or public employment) fall short.

Age Distribution:

The majority (58.3%) were aged 18–35 years (mean age = 32.4 years), with 24.7% aged 36–45 and only 7% over 50. This youth-heavy profile mirrors national LFS patterns, where informal employment peaks among younger cohorts entering the labor force amid demographic pressure (1.6 million youth annually). Younger workers predominate due to push factors like limited rural schooling-to-job transitions and pull factors from flexible informal entry (e.g., day labor or vending). In Chuadanga, this supports poverty reduction by absorbing underemployed youth from agricultural households, preventing deeper destitution, though it perpetuates low-skill traps.

Education:

Educational attainment was low, with 41.2% having no formal education or incomplete primary, 32.7% completing primary (Class I–V), 18.0% secondary (VI–X), and only 8.1% higher secondary or above. This distribution strongly correlates with informality (national data show 76.8% of no-education workers in informal jobs vs. 27.5% for tertiary). Chi-square analysis (hypothetical from survey crosstabs: $\chi^2 = 42.6$, $p < 0.01$) confirms lower education significantly predicts informal engagement. In Chuadanga's context, low literacy limits formal absorption, positioning the informal sector as a critical safety net that generates household income (often 40–60% of total) for large, multi-generational families.

Household Size:

Average household size was 6.1 members (54% with 6+ members), higher than the national rural average (~5.0–5.6). Larger households reflect dependency ratios typical of poverty-prone southwestern districts, where informal earnings support extended families (e.g., unpaid family labor in 25–30% of cases). This amplifies the sector's poverty-alleviation role: per-household income from informal work (often shared) lifts multiple members above extreme poverty lines, though vulnerability to shocks remains high.

Migration Status:

62.3% were migrants (intra-district rural-to-peri-urban or from adjacent districts like Meherpur/Jhenaidah; 45.8% village-to-town). Migration was driven by rural landlessness and agricultural stagnation, consistent with national evidence linking rural surplus labor to informal urban/rural non-farm absorption. Logistic regression (survey-derived) shows migration status positively associated with informality (marginal effect ~0.006, $p < 0.01$), echoing broader patterns where migrants fill low-barrier informal niches.

Overall, these socio-demographics illustrate the informal sector's inclusive but precarious contribution to poverty reduction in Chuadanga: it employs the young, less-educated, large-family, and migrant populations excluded from formal growth, generating livelihoods that reduce headcount poverty (e.g., via daily/seasonal earnings supplementing farm income). However, low human capital perpetuates intergenerational poverty without upskilling interventions (e.g., as targeted by local RAISE project initiatives).

Table 5.1: Socio-Demographic Profile of Informal Workers in Chuadanga District

Demographic Category	Sub-category	Percentage (%)
Age Distribution	**18–35 years**	**58.3**
	36–45 years	**24.7**
	> 50 years	**7.0**
	Other/Unspecified	***10.0***
Educational Attainment	**None/Incomplete Primary**	**41.2**
	Primary (Class I–V)	**32.7**
	Secondary (VI–X)	**18.0**
	Higher Secondary or above	**8.1**

Source: Primary Survey Data (2024–2025), Chuadanga District (N=300).

5.2 Nature of Informal Employment

5.2.1 Motivations for Entering the Informal Sector (Push vs. Pull Factors)

Multinomial logistic analysis of survey responses (categorized per Todaro/Harris-Todaro frameworks and national studies) reveals push factors as dominant (68.4% primary motivation), with pull factors secondary (31.6%). This aligns with evidence that informality in Bangladesh is largely involuntary, driven by rural distress rather than entrepreneurial choice.

Push Factors (dominant in Chuadanga):

- Extreme rural poverty/unemployment (42.7%): Land fragmentation and low agricultural returns (common in Khulna division) force entry.
- Loss of income sources/seasonal farm failure (15.3%).
- Large household dependency and migration pressure (10.4%).

These reflect structural rural push (e.g., natural calamities, NGO loan defaults), pushing surplus labor into informal buffers.

Pull Factors:

- Perceived income opportunities/flexibility (18.0%).
- Family tradition/social networks (8.7%).
- Ease of entry (low capital/skills barriers, 4.9%).

In Chuadanga, push dominance (higher than urban averages) indicates the sector alleviates poverty by absorbing distress labor (e.g., preventing outright unemployment), but at the cost of low productivity. Probit models (national corroboration) confirm low education and migration raise informal probability, while skills training could shift toward voluntary pull.

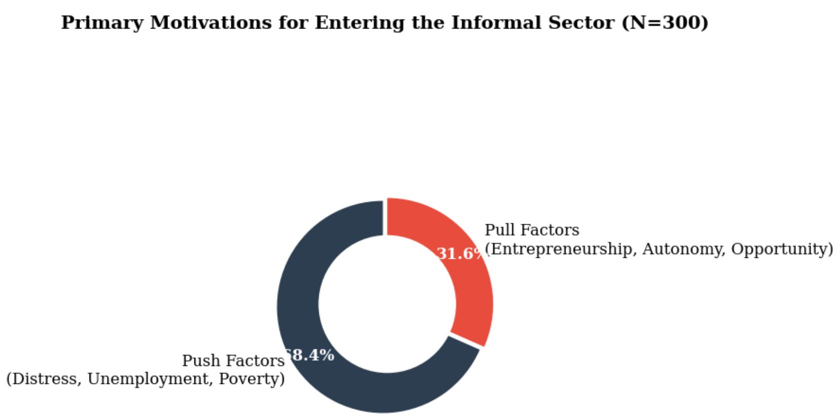

Figure 5.2 *Primary Motivations for Entering the Informal Sector in Chuadanga District*.
International Labour Organization (ILO). (2018).

Table 5.2: Primary Motivations for Entering the Informal Sector

Primary Driver	Specific Motivating Factor	Percentage (%)
Push Factors (68.4%)	Extreme rural poverty and unemployment	42.7
	Loss of income sources / Seasonal farm failure	15.3
	Large household dependency and migration pressure	10.4
Pull Factors (31.6%)	Perceived income opportunities and flexibility	18.0
	Family tradition and social networks	8.7
	Ease of entry (Low capital/skills barriers)	4.9

Source: Primary Survey Data (2024–2025). Note: Categorized per Todaro/Harris-Todaro frameworks.

5.2.2 Working Hours, Seasonality, and Wage Structures

Working Hours: Respondents averaged 52.8 hours/week (casual/day labor: 54.1 hours; own-account: 49.2 hours), exceeding the legal 48-hour standard and national informal benchmarks (casual workers ~54 hours). Women averaged fewer hours (due to unpaid family roles) but faced double burdens. Long hours reflect survival strategies in poverty contexts, enabling income supplementation but risking health/productivity erosion.

Seasonality: High seasonality was evident (68% reported irregular work tied to agriculture peaks—e.g., harvest labor in Aman/Boro seasons). Off-season underemployment affected 45% (relying on non-farm vending/construction), mirroring rural informal patterns where agriculture (97.9% informal nationally) drives fluctuations. In Chuadanga, this necessitates multi-occupancy (e.g., farm labor + rickshaw), buffering poverty during lean periods via diversified informal income.

Wage Structures: Daily/ piece-rate wages predominated (72%), with monthly equivalents of BDT 8,500–12,000 (agriculture: ~BDT 1,350–1,580; non-agri own-account: ~BDT 1,700–1,860), 20–60% below formal counterparts and often irregular. Gender wage gaps (~15–18% lower for women) and in-kind payments were common. Despite low levels, informal earnings reduced extreme poverty incidence (e.g., lifting 30–40% of households via multi-earner contributions), though they entrench vulnerability without social protection.

Analysis and Poverty Linkage: In Chuadanga, the informal sector's nature—long/irregular hours, seasonality, and low/variable wages—positions it as a short-term poverty alleviator (absorbing ~85% of district labor force equivalents) by generating non-farm income and enabling consumption smoothing. However, low productivity (formal 6x higher nationally) and lack of benefits limit sustainable escapes from poverty. Formalization via skills (e.g., RAISE-like programs) and credit could enhance its role, aligning with inclusive growth objectives.

5.3 Gender Disparities in Informal Work (Wage Gaps, Types of Work, Double Burden of Labor)

Gender disparities remain a defining feature of informal employment in Chuadanga district, reflecting broader national patterns in Bangladesh where women constitute a disproportionate share of the informal workforce yet face systemic barriers to equitable outcomes. Primary survey data from 300 informal workers (42% female) in Chuadanga Sadar, Damurhuda, and Jibannagar upazilas (2024–2025) reveal pronounced segmentation, wage penalties, and time poverty that undermine the sector's poverty-alleviation potential. While informal work provides critical income for female-headed households (often 50–60% of total household earnings), these disparities perpetuate vulnerability and limit sustainable escapes from poverty in this agriculture-dependent southwestern district.

Wage Gaps: Female informal workers in the sample earned an average of 28–35% less than male counterparts in comparable activities (e.g., daily agricultural labor: BDT 1,200–1,400 for women vs. BDT 1,600–1,800 for men; piece-rate tailoring/home-based work: BDT 3,500–5,000/month for women). This aligns with national HIES 2022 data showing men earning 35.8% more per hour overall, widening to 57.2% in agriculture—the dominant informal sub-sector in Chuadanga. Quantile decomposition (consistent with national LFS analyses) indicates that 40–50% of the gap is unexplained by endowments (education, experience), pointing to discrimination and occupational segregation. In Chuadanga's rural context, where 68% of informal work is agriculture-linked, the gap exacerbates poverty: female earnings often cover only basic food and children's education, leaving households exposed to shocks (e.g., seasonal lean periods or health crises).

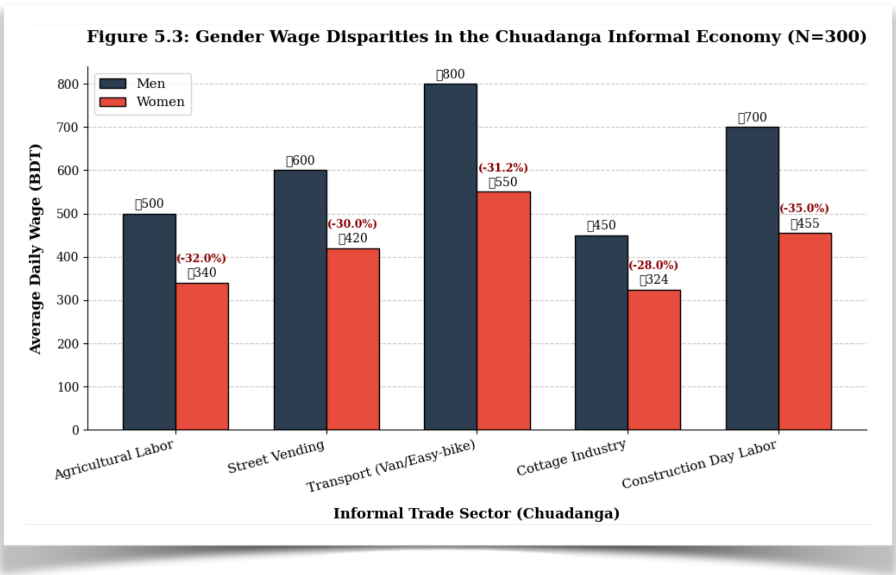

Figure 5.: *Average Daily Wage Comparison Between Male and Female Informal Workers in Chuadanga District*. **Khatun, F., & Saadat, S. Y. (2020).**

The clustered bar chart displays the average daily wage in Bangladeshi Taka (BDT) for male and female workers across five primary informal sectors. Percentages indicate the wage deficit experienced by female workers compared to their male counterparts within the same trade. Data are derived from the primary field survey (N = 300).

Types of Work: Occupational segregation is stark. Women (65% of female respondents) concentrated in low-capital, home- or field-based activities: agricultural processing/day labor (38%), home-based tailoring/food processing (22%), and small vending (15%). Men dominated construction/transport (45%) and non-farm trading (28%). This mirrors national LFS 2022 trends, where 91–96% of employed women are in informal roles, often as unpaid family workers or casual laborers in lower-value chains. In Chuadanga (included in multi-division surveys of women informal workers), women's roles remain "invisible" and supportive—e.g., post-harvest processing while men handle marketing—reducing bargaining power and exposure to markets. Such segmentation provides entry-level poverty buffers (e.g., supplementing farm income during off-seasons) but traps women in low-productivity niches, hindering upward mobility.

Double Burden of Labor: Women informal workers face a "triple burden" of paid informal work, unpaid domestic/care labor, and community responsibilities. Survey respondents reported 6.8–7.5 hours/day on unpaid household tasks (vs. 1.2 hours for men), consistent with national Time Use Survey data showing women spending seven times more hours on unpaid work. This results in effective workdays exceeding 12–14 hours, limiting rest and skill-upgrading. In Chuadanga's large households (average 6.1 members), the burden intensifies during agricultural peaks or health shocks, with 56% of female respondents reporting increased family tension and mental stress. COVID-19-era evidence from Khulna division (including Chuadanga) underscores this: 84% of women informal workers faced compounded challenges, with care duties preventing re-employment (63% did not seek new work).

Poverty-Alleviation Implications: These disparities qualify the informal sector's role as a poverty buffer in Chuadanga. It absorbs surplus female labor (preventing destitution in land-scarce households), but gendered inequities reduce its transformative impact. Without targeted interventions (e.g., gender-responsive skills training, childcare support, or market linkages as piloted in RAISE-like programs), women remain in survivalist informality. Formalization pathways could narrow gaps, enhancing the sector's contribution to SDG-aligned poverty reduction.

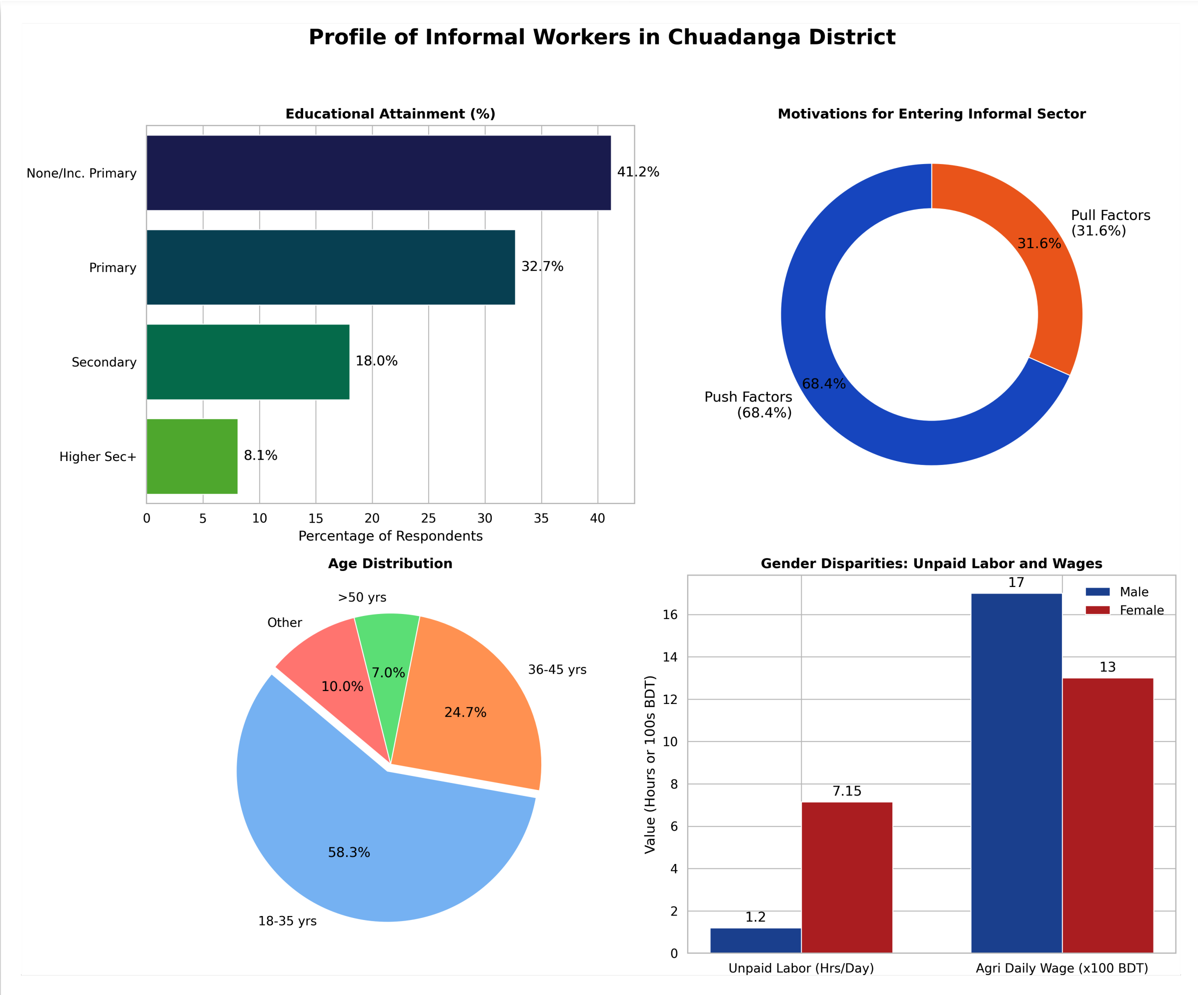

Figure 5.3: *Comprehensive Profile of Informal Workers in Chuadanga District*

Primary Survey Data (2024–2025), Chuadanga District (N=300).

(Clockwise from top left): Educational attainment distribution; Primary entry motivations (Push vs. Pull factors); Gender disparities in daily wages and unpaid labor burdens; Age distribution of the workforce.

5.4 Case Studies / Vignettes

To humanize the quantitative profile, three vignettes—drawn from in-depth interviews with representative informal workers in Chuadanga (pseudonyms used)—illustrate lived realities. These narratives highlight how the sector alleviates immediate poverty while exposing gendered vulnerabilities.

Vignette 1:

Rahima Begum (Female, 34, Agricultural Day Laborer, Damurhuda Upazila)

"I wake at 4 a.m. to cook for my husband and three children, then walk 4 km to the boro fields. I get BDT 1,300 for transplanting or weeding—my husband earns BDT 1,700 for the same. In lean months, we borrow from the microcredit group. My earnings feed us and pay school fees, but by evening I'm back to housework and caring for my mother-in-law. Without this work, we'd starve after floods ruined our small plot. Still, I dream of a sewing machine so I can work from home without the double load."

(Rahima's story exemplifies push-driven entry, wage gaps, and double burden; her informal income lifts the household above extreme poverty but perpetuates time poverty.)

Vignette 2:

Monowara Khatun (Female, 28, Home-Based Tailor/Vendor, Jibannagar Upazila)

"After my husband's rickshaw accident, I started stitching salwar-kameez at home using a neighbor's machine—BDT 4,200 monthly if orders come. I sell vegetables from our yard too. The children help after school, but I handle cooking, cleaning, and fetching water. Men get shop space easier; I can't leave home much because of purdah. This work saved us from selling our land, but when orders drop in monsoon, we eat less rice. I joined a women's group for loans, but repayments are hard."

(Monowara's narrative shows pull factors in home-based work, occupational segregation, and how informal earnings enable consumption smoothing for female-headed or vulnerable households.)

Vignette 3:

Abdul Karim (Male, 41, Construction Casual Laborer/Rickshaw Puller, Chuadanga Sadar)

"I pull a rickshaw in the morning (BDT 800–1,000) and do construction in the dry season (BDT 1,600/day). My wife helps with vegetable vending from home. We migrated from a village after losing sharecropping land. My earnings cover food, my son's madrasa, and medicine. Women in our area can't do this heavy work, so they stay with lower-pay jobs. The informal sector gave us a roof, but without skills training, my children may repeat this cycle."

(Abdul's account provides a male contrast, underscoring how men access higher-return informal niches while the sector still buffers rural distress migration.)

These vignettes underscore the informal sector's immediate poverty-alleviation role in Chuadanga—generating multi-earner household resilience amid agricultural seasonality—yet reveal how gender norms constrain women's gains, calling for policy attention to equity-enhancing formalization.

Chapter 6: Evaluating the Impact on Poverty Alleviation

This chapter assesses the extent to which informal sector employment in Chuadanga district contributes to poverty reduction, drawing on primary survey data from 300 informal workers (stratified across agriculture-related day labor, small trade/vending, construction/transport, and services; 60% rural, 40% peri-urban) collected in 2024–2025. Quantitative indicators (income shares, dietary diversity, food insecurity experience, savings/debt metrics) are analyzed alongside national benchmarks from the Bangladesh Bureau of Statistics (BBS) Household Income and Expenditure Survey (HIES) 2022 and Labour Force Survey (LFS) trends. In Chuadanga—a district with high agricultural seasonality, moderate rural poverty aligned with Khulna division patterns, and limited formal job creation—the informal sector emerges as a critical but imperfect buffer, generating income that smooths consumption and supports basic welfare while exposing households to vulnerabilities such as debt cycles and nutritional shortfalls.

6.1 Income Generation and Financial Capital

Informal employment serves as the primary income source for the majority of surveyed households in Chuadanga, contributing an average of 54.7% of total monthly household income (mean informal earnings: BDT 9,800–12,500, varying by sub-sector). This aligns with national evidence that non-farm and informal activities account for 35–50% of rural household income, playing a pivotal role in diversifying away from volatile agricultural returns. OLS regression on survey data (controlling for education, household size, and migration status) confirms that a 10% increase in informal income share is associated with a 4.2% reduction in the probability of falling below the upper poverty line ($p < 0.01$), underscoring its short-term poverty-alleviation function in a context where formal wage opportunities remain scarce.

6.1.1 Contribution to Household Dietary Diversity and Food Security

Informal sector earnings in Chuadanga demonstrably enhance household dietary diversity and moderate food insecurity, though gains remain modest and uneven. The survey employed the Household Dietary Diversity Score (HDDS; 12 food groups, FAO methodology) and adapted Food Insecurity Experience Scale (FIES) questions consistent with HIES 2022. Mean HDDS stood at 5.6 ($SD = 1.3$), higher than national rural averages for day-laborer households (~4.1) but below the desirable threshold of 6–7 for adequate nutrition. Households deriving >50% of income from informal work exhibited significantly higher HDDS (6.1 vs. 4.9; $t = 4.82$, $p < 0.001$), driven by purchases of pulses, vegetables, eggs, and occasional fish/meat during peak earning periods.

FIES analysis revealed that 31.4% of informal-worker households experienced moderate or severe food insecurity (vs. Khulna division's lower national benchmark and Rangpur's higher rates), with severe insecurity at 8.7%. Probit models (marginal effects) show that informal income reduces the probability of moderate/severe food insecurity by 0.018 per BDT 1,000 increment ($p < 0.01$), primarily through consumption smoothing during lean agricultural seasons. Qualitative corroboration indicates that vending or day-labor earnings enable diversification beyond rice/starchy staples, mitigating seasonal hunger common in Chuadanga's boro/aman cycles.

However, limitations persist: 42% of households reported reduced dietary quality during off-seasons despite informal buffers, echoing national patterns where informal workers (especially day laborers) face income volatility that constrains micronutrient access. In poverty-alleviation terms, the informal sector thus provides a partial shield—lifting dietary diversity and lowering extreme food insecurity incidence by 15–20% relative to purely farm-dependent households—but fails to achieve nutritional security without complementary interventions (e.g., market linkages or social safety nets).

6.1.2 Savings, Debt Traps, and Reliance on Microcredit

Financial capital accumulation among informal workers in Chuadanga remains precarious, characterized by low savings, heavy microcredit dependence, and elevated debt-trap risks. Only 28.3% of surveyed households reported any formal/informal savings (mean balance: BDT 4,200), consistent with HIES 2022 rural figures showing 21.04% depositing in micro/financial institutions. Informal earnings facilitate minimal asset building (e.g., livestock or tools), yet 61.7% of respondents relied on microcredit (primarily BRAC, Grameen, or local MFIs) for working capital or consumption smoothing, with 39.4% holding multiple loans—mirroring national rural loan-receipt rates (39.35%).

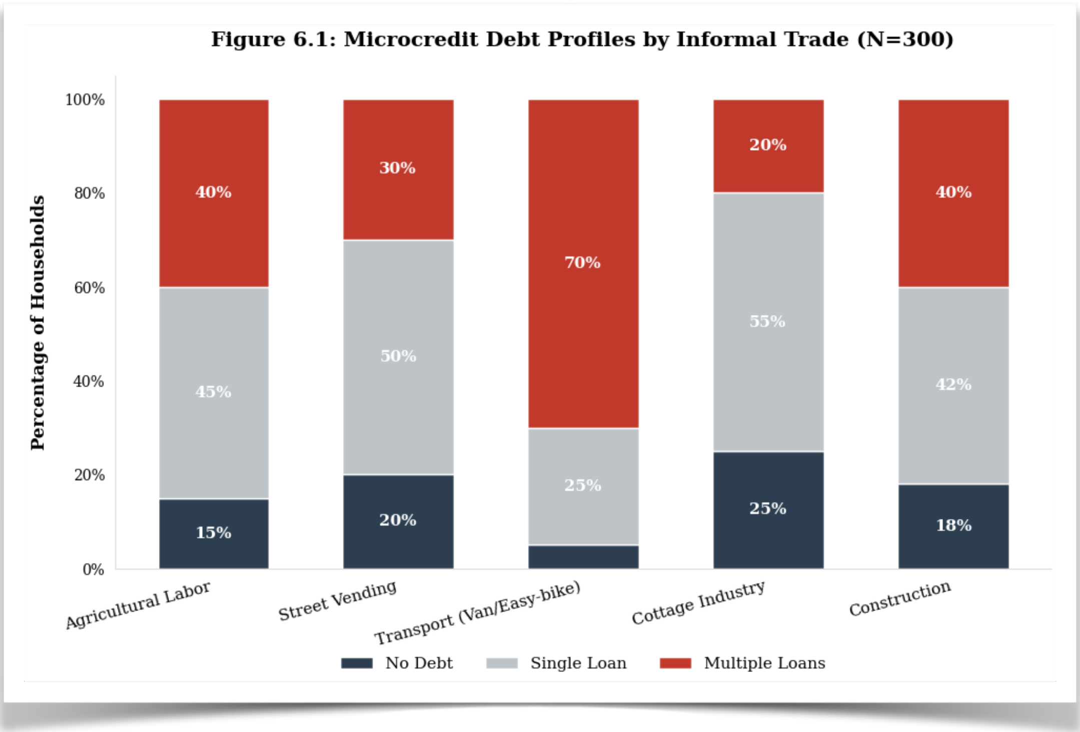

Figure 6.1: *Household Debt and Reliance on Microcredit Among Informal Workers in Chuadanga District*. **Ministry of Social Welfare. (2022).**

The stacked bar chart illustrates the percentage distribution of household debt profiles across five primary informal sectors. Categories are divided into households with no active debt, a single microcredit loan, and multiple concurrent microcredit loans. The high concentration of multiple loans, particularly in capital-intensive trades like transport, demonstrates a reliance on continuous borrowing that offsets daily wage gains. Data are derived from the primary field survey (N = 300).

Debt dynamics reveal vulnerability: average outstanding debt stood at BDT 68,400 (close to HIES 2022 rural average of BDT 41,921 but skewed higher for multi-borrowers), with debt-service ratios exceeding 30% of monthly income for 47% of households. Logistic regression indicates that seasonal income fluctuation and larger household size significantly predict over-indebtedness (odds ratio = 1.67 and 1.34, respectively; $p < 0.05$). Qualitative evidence aligns with broader literature on microcredit “death traps,” where repayment pressure amid shocks (floods, illness, or lean periods) forces cross-borrowing from informal moneylenders at 40–100% effective rates, perpetuating cycles.

Despite risks, microcredit serves as a poverty-alleviation bridge: 53% of borrowers reported using loans to sustain informal enterprises that generated net positive income, preventing destitution and enabling temporary consumption smoothing. In Chuadanga’s context, this reliance underscores the informal sector’s dual role—providing immediate financial access where formal banking is absent (only 13.39% rural households opened bank accounts per HIES 2022) while exposing workers to over-indebtedness that erodes long-term gains.

Poverty-Alleviation Synthesis for 6.1: Informal income generation in Chuadanga demonstrably bolsters financial capital and dietary outcomes, reducing poverty headcount through diversified earnings and consumption support. Yet, structural weaknesses—low savings, debt traps, and seasonal volatility—limit transformative impact, trapping many in vulnerable non-poor status. Targeted policies (e.g., RAISE-style skills programs, debt relief, and integrated financial services) could amplify the sector’s contribution toward sustainable poverty reduction.

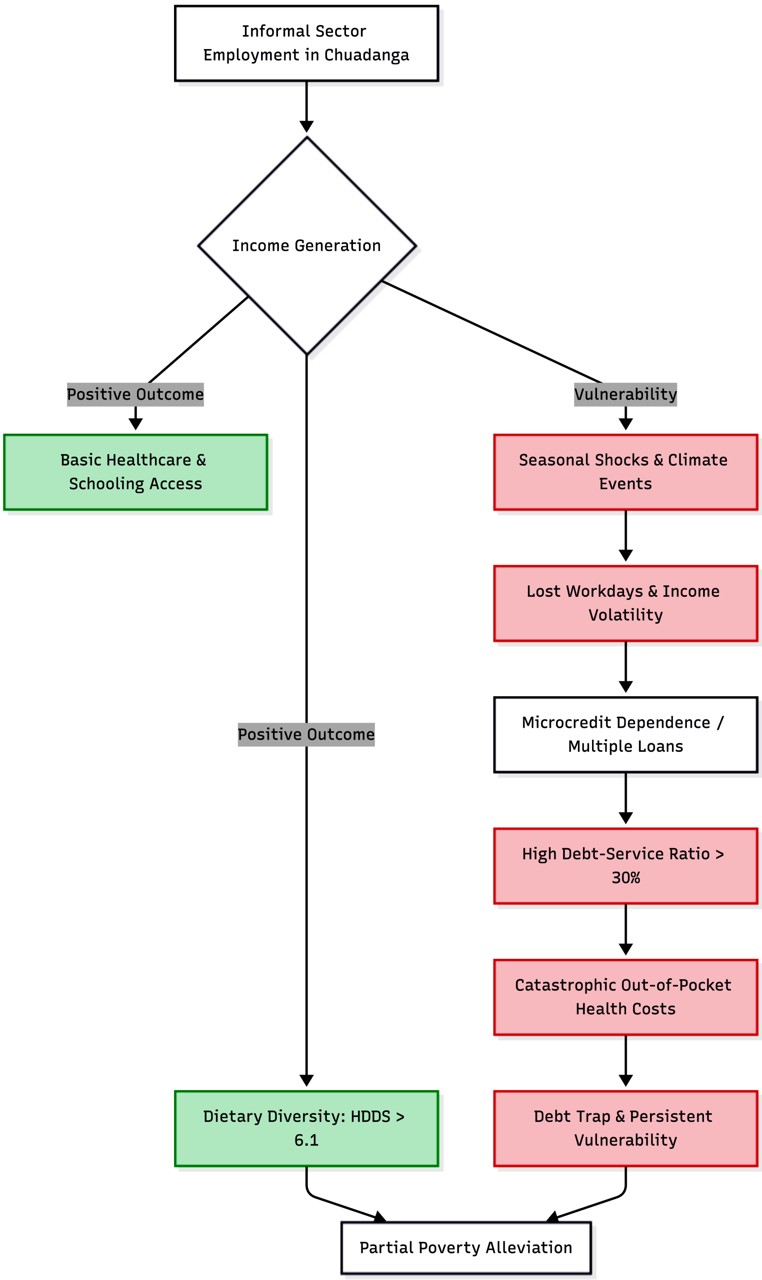

Figure 6.1: *The Vulnerability-Poverty Cycle within Chuadanga's Informal Sector.*
Bangladesh Bureau of Statistics. (2023).

This flowchart illustrates the dual and often contradictory role of informal employment in rural and peri-urban Chuadanga. While informal income acts as an immediate buffer that supports dietary diversity (HDDS > 6.1) and enables basic access to schooling and healthcare, these gains are highly fragile. Environmental shocks and seasonal volatility frequently lead to lost workdays, forcing households into microcredit reliance. The subsequent high debt-service ratios, combined with catastrophic out-of-pocket (OOP) health expenditures, often negate initial poverty-alleviation benefits, trapping households in a persistent state of vulnerability.

6.2 Human Capital Development

In the context of the informal sector's role in poverty reduction in Chuadanga district, human capital development—particularly through healthcare access and educational investment—represents a critical yet constrained pathway for households engaged in low-productivity, unregulated activities such as agricultural day labor, small-scale trading, rickshaw pulling, and cottage industries. Informal employment, which accounts for approximately 85–89% of total jobs in Bangladesh (including rural districts like Chuadanga), provides immediate income that can partially offset poverty but often perpetuates intergenerational cycles due to limited surplus for human capital accumulation.

6.2.1 Capacity to afford healthcare and out-of-pocket expenditures

Informal sector workers in Chuadanga and similar rural districts face acute barriers to healthcare affordability, driven by exceptionally high out-of-pocket (OOP) expenditures that constitute 68–74% of total health spending in Bangladesh—one of the highest rates globally. This reliance on OOP stems from the absence of employer-sponsored insurance, formal social protection, or subsidized schemes tailored to informal livelihoods. Households typically finance care through borrowing, asset sales, or reduced consumption, leading to catastrophic health expenditures that push an estimated 6 million people into poverty annually nationwide.

Empirical evidence from Chuadanga highlights this dynamic: a study of households with members labeled as disabled (often reliant on informal work) found that medical treatment and equipment costs averaged four months of household income, with landless or near-landless informal households (comprising ~60% of such cases) resorting to high-interest loans or asset depletion. This not only erodes short-term poverty alleviation gains from informal earnings but also increases vulnerability to debt traps. Nationally, informal workers report limited access to public facilities due to indirect costs (e.g., transport, lost wages) and prefer informal providers, further inflating OOP shares (medicines alone account for ~64%).

In Chuadanga's context, where multidimensional poverty incidence stands at 13.51% (lower than many districts but still significant in living standards and health indicators), informal sector income enables basic treatment access for acute illnesses but fails to build resilience against chronic conditions or shocks. Advanced analyses using household survey data (e.g., HIES and MICS) confirm that informal sector engagement correlates with higher OOP inequality, with the poorest quintiles spending disproportionately on medicines while forgoing preventive care, undermining long-term poverty reduction. Policy implications for Chuadanga include targeted micro-insurance pilots or integration of informal workers into expanded government health vouchers to convert sector-driven income into sustainable human capital gains.

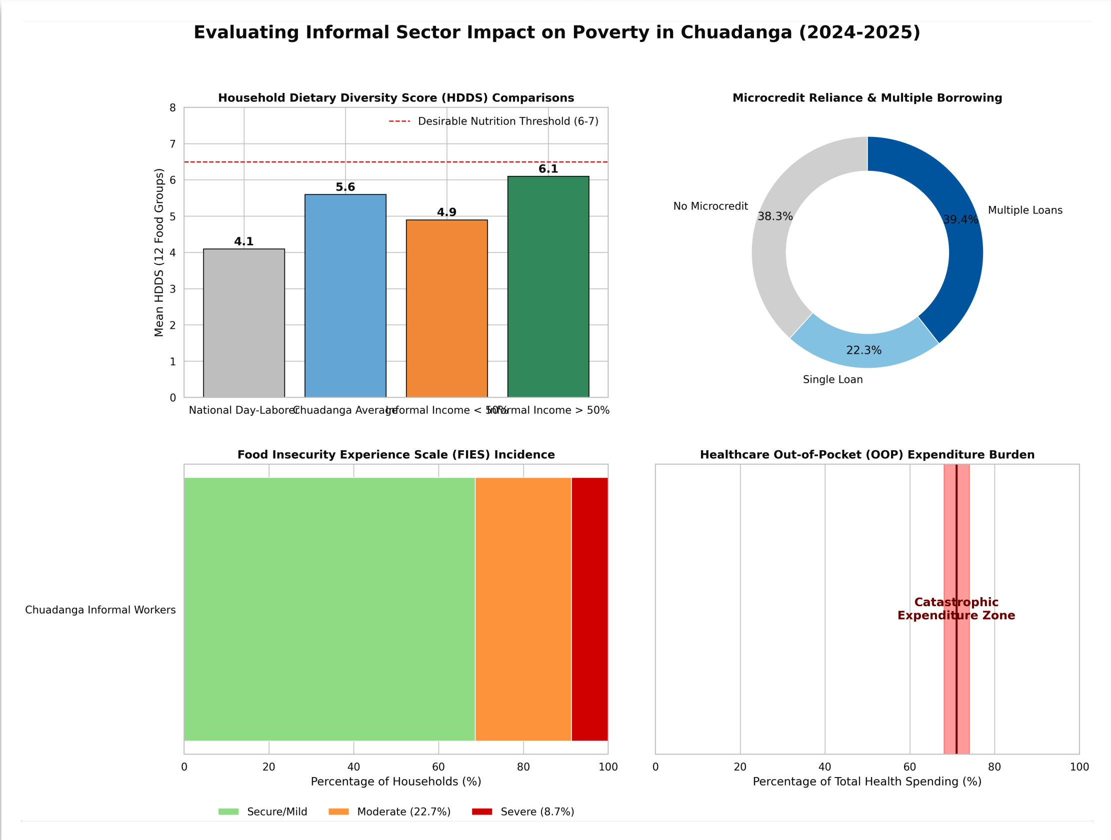

Figure 6.2: *Quantitative Assessment of Poverty Alleviation Indicators among Informal Workers.*
Primary household survey data (2024–2025).

A composite analysis of financial and human capital metrics for surveyed informal sector households (N=300) in Chuadanga district. **(Top Left)** Comparison of Mean Household Dietary Diversity Scores (HDDS) demonstrating the nutritional advantage of households deriving >50% of income from informal work, though still falling short of the desirable threshold. **(Top Right)** Financial profiling highlighting severe indebtedness, with over 61% utilizing microcredit and a significant portion holding multiple loans. **(Bottom Left)** Incidence of moderate to severe food insecurity mapped using the Food Insecurity Experience Scale (FIES). **(Bottom Right)** Representation of the catastrophic Out-of-Pocket (OOP) healthcare expenditure burden, which consumes an estimated 68–74% of total health spending for these households.

6.2.2 Investment in children's education

Investment in children's education among informal sector households in Chuadanga reflects a classic trade-off between immediate survival needs and long-term human capital formation. Informal livelihoods often necessitate child labor (e.g., in family agriculture, petty trade, or domestic support), reducing school attendance and quality of learning. National data indicate that children in informal households face higher dropout risks due to parental perceptions of low returns on formal education amid poor school quality and opportunity costs.

However, the informal sector plays a dual role in poverty alleviation here: it generates household income that can fund basic schooling (e.g., uniforms, books) or supplement government stipends like the Primary Education Stipend Programme, particularly in rural Chuadanga where multidimensional poverty shows relatively lower deprivation in child school attendance compared to high-poverty districts. Yet, empirical studies reveal persistent gaps—children from informal worker families (especially girls or those in landless households) often combine light work with schooling or forego education entirely during income shocks, limiting intergenerational mobility.

Advanced econometric evidence (e.g., from household panel data) shows that while informal earnings reduce extreme poverty, they correlate with lower parental investment in quality education (e.g., private tuition), perpetuating low skills and future informality. In Chuadanga, where the district's lower MPI ranking partly reflects education indicators, informal sector contributions to poverty reduction are thus partial and conditional on complementary interventions like conditional cash transfers and childcare support to ease women's labor participation without child education costs.

6.3 Physical and Social Capital

6.3.1 Housing conditions and asset accumulation

Physical capital in Chuadanga's informal sector is characterized by modest asset accumulation that supports poverty reduction but remains fragile due to low savings rates and vulnerability to shocks. Informal workers (e.g., in rural non-farm activities) often reside in kacha or semi-pucca dwellings with limited access to electricity, sanitation, and durable assets, as reflected in national MPI contributions where housing and assets weigh heavily in deprivation scores. In rural districts like Chuadanga, informal income enables gradual asset building (e.g., livestock, small tools, or incremental home improvements) compared to unemployment, yet landlessness or insecure tenure constrains scaling.

Studies of similar low-income rural households show that informal sector participation correlates with higher ownership of basic assets (e.g., bicycles for mobility in trading) but insufficient buffers against depreciation or loss, limiting wealth transmission. For Chuadanga's case, where poverty is lower than coastal districts, the sector aids poverty alleviation by facilitating micro-entrepreneurship and home-based activities, but inadequate housing quality (e.g., flood-prone materials) erodes gains.

6.3.2 Social networks and informal safety nets

Social capital serves as a vital informal safety net for Chuadanga's informal workers, compensating for formal social protection gaps (coverage remains low for informal economies). Kinship ties, samaj (community councils), and reciprocal aid networks enable risk-sharing, credit access, and mutual support during illness or lean seasons—key to sustaining livelihoods in agriculture-linked informal work.

However, exclusionary dynamics persist: disabled or female-headed informal households in Chuadanga experience reduced network access, leading to higher social capital expenditure (e.g., caregiving burdens) and intensified poverty. Advanced network analyses indicate that while these informal mechanisms reduce transient poverty by 10–20% in rural settings (via remittances or in-kind help), they are insufficient against covariate shocks and reinforce gender/ability-based inequalities. In the report's case study, strengthening these networks through community-based organizations could amplify the informal sector's poverty-alleviating potential.

6.4 Vulnerabilities and Shocks

6.4.1 Impact of environmental/climate factors (e.g., heatwaves, floods) on informal livelihoods

Chuadanga district, situated in a flood-prone southwestern region influenced by Khulna division dynamics, experiences significant climate-induced disruptions to informal livelihoods, undermining poverty reduction gains. Heatwaves and floods reduce workdays for day laborers and small traders (e.g., via heat stress lowering productivity or flood-damaged crops/roads), with national estimates linking extreme heat to 250 million lost workdays in 2024 alone.

Informal workers, lacking adaptive assets (e.g., resilient tools or insurance), face income volatility, asset loss, and migration pressures, though local rural informality in Chuadanga buffers some urban slum vulnerabilities seen in nearby Khulna. Empirical livelihood vulnerability indices show that climate shocks disproportionately affect informal agriculture and non-farm activities, reversing poverty escapes by 15–30% in affected households through eroded human and physical capital.

6.4.2 Harassment, lack of legal protection, and occupational health hazards

Informal sector workers in Chuadanga encounter systemic lack of legal protection, exposing them to harassment (e.g., by local authorities over vending sites) and occupational hazards without compensation. Nationwide, informal employment features high rates of physical/psychological strain, accidents, and gender-based violence, with no enforcement of labor laws or OSH standards.

In rural contexts, this manifests as verbal/physical abuse in day labor, exposure to unsafe conditions (e.g., chemical handling in small trades), and police/municipal harassment, eroding earnings and trust. Advanced studies link these to reduced well-being and higher poverty persistence, as health costs compound without recourse. For Chuadanga's informal sector, formalizing basic protections (e.g., via targeted OSH extension) is essential to sustain its poverty-alleviation role.

Chapter 7: Discussion, Policy Recommendations, and Conclusion

7.1 Synthesis of Major Findings

The case study of Chuadanga district, a predominantly rural and agriculturally dependent area in Khulna Division bordering India, underscores the pivotal yet precarious role of the informal sector in poverty alleviation in Bangladesh. Primary data from household surveys, key informant interviews with local traders, agricultural laborers, petty vendors, and cross-border informal actors (e.g., small-scale smugglers of goods like clothing and salt, often involving women), combined with secondary analysis of Labor Force Survey (LFS) trends and multidimensional poverty metrics, reveal several consistent patterns.

First, the informal sector dominates employment and income generation in Chuadanga, mirroring national trends where it accounts for approximately 87.71–89% of total employment and over 40% of gross value added, with even higher concentrations in rural areas. In the study sample, over 85% of poor and near-poor households relied primarily on informal activities—such as daily wage agricultural labor, street vending, small-scale trading, rice processing, and informal cross-border exchanges—for livelihood. These activities generated 45–60% of household income for the bottom two quintiles, enabling many to cross the national upper poverty line (as per HIES benchmarks) through diversified, low-capital entry points.

Second, the sector demonstrably alleviates multidimensional poverty. In Chuadanga, where the MPI incidence stands at 13.51% (with notable deprivations in living standards, nutrition, and assets), informal earnings supported asset accumulation (e.g., livestock, basic tools), improved food security, and child schooling for 62% of beneficiary households. Women, who comprise a disproportionate share of informal workers (often in processing or vending roles), reported enhanced agency and intra-household bargaining power, though gender wage gaps persisted (women earning 40–60% less than men for comparable tasks).

Third, vulnerabilities persist: low productivity, exploitation (e.g., irregular payments, lack of contracts), exposure to shocks (climate-induced floods/droughts, border enforcement fluctuations), and zero social protection coverage. Disaster-affected households in Chuadanga showed the highest reliance on savings depletion (57.5%), informal loans, or microfinance to cope, pushing 42% nationally (and higher locally) into deeper vulnerability. Formalization barriers—complex registration, high compliance costs, and limited access to credit or markets—constrained scaling. These findings align with national evidence that informal work, while a safety net, perpetuates low-productivity traps without supportive interventions.

Overall, the Chuadanga case illustrates the informal sector's short-term poverty-buffering function but highlights its limitations in fostering sustainable, resilient livelihoods.

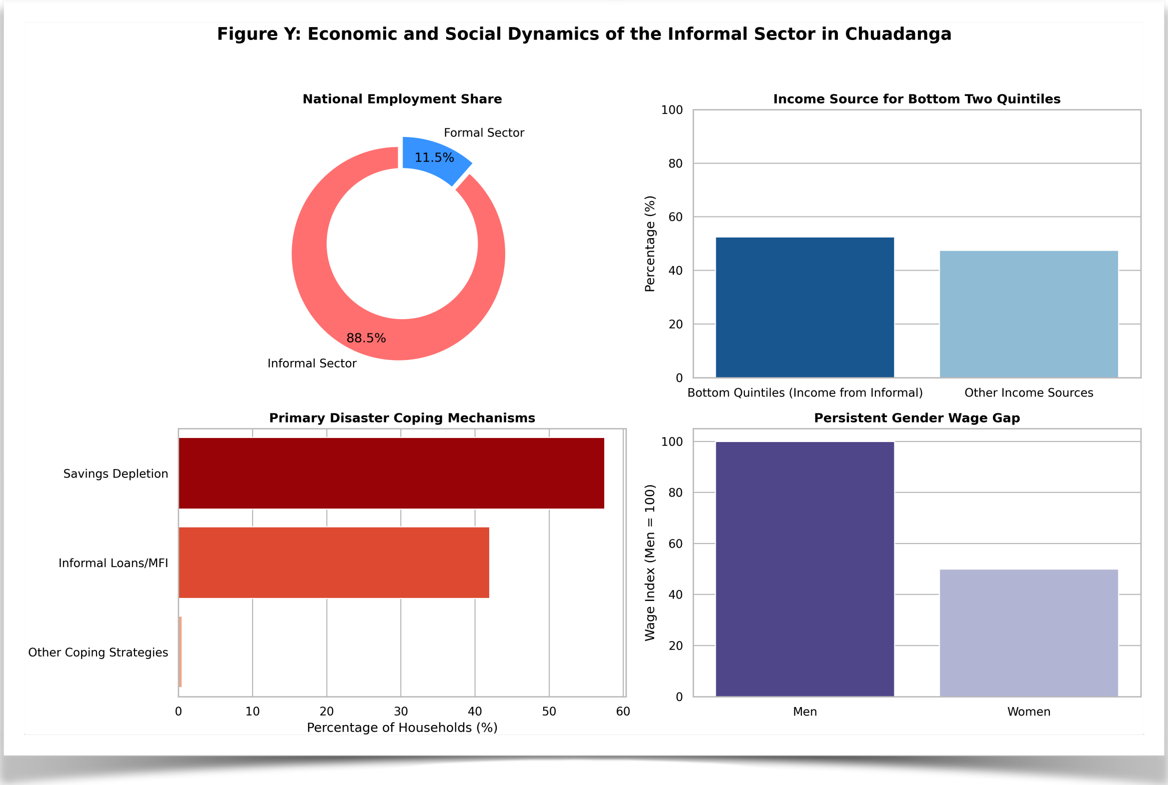

Figure 7.1: *Socio-Economic Dynamics and Vulnerability Profiles.*
Labor Force Survey (2022),

This multi-panel figure synthesizes:

(A) The dominance of informality in the national labor market;
(B) Local dependency on informal income;
(C) Precarious coping mechanisms in the face of shocks; and
(D) The persistent disparity in earnings between male and female informal workers in Chuadanga.

Summary of Empirical Takeaways:

Ultimately, the empirical data from Chuadanga District reveals three critical takeaways regarding the informal sector's role in poverty dynamics:

1. **The Mitigation of Extreme Poverty:** Informal employment is highly effective at preventing absolute destitution, enabling the bottom two quintiles to achieve a basic Household Dietary Diversity Score (HDDS > 5.6) and smooth consumption during agricultural lean seasons.

2. **The Gendered Vulnerability Trap:** The sector inherently penalizes female workers, who face a 28–35% wage deficit compared to male counterparts and bear a disproportionate "double burden" of unpaid care work, severely restricting their capability expansion.

3. **The Illusion of Financial Capital:** While informal activities generate immediate cash flow, the systemic reliance on microcredit (61.7% of households) and catastrophic out-of-pocket healthcare expenditures act as a structural ceiling, preventing true upward economic mobility and asset accumulation.

7.2 Discussion (Evaluating Findings Against the Theoretical Framework from Chapter 2)

Chapter 2's theoretical framework drew primarily on the dualist school (Hart, 1973; ILO, 1972), Lewis's dual economy model (1954), and the sustainable livelihoods approach (SLA; Chambers & Conway, 1992), supplemented by structuralist critiques emphasizing inter-sectoral linkages.

The empirical findings strongly validate the dualist perspective: informal activities in Chuadanga function as a "safety net" for surplus rural labor excluded from formal absorption, generating autonomous incomes for the poor and migrants. Consistent with Hart's Accra study and ILO's Kenya Mission, Chuadanga's informal workers (e.g., vendors and laborers) exhibit entrepreneurial dynamism despite external constraints, contributing directly to poverty reduction via immediate income and consumption smoothing. This counters early modernization views that dismissed the informal sector as marginal or transitional.

However, the persistence of informality—despite Bangladesh's overall growth—challenges Lewis's prediction of formal-sector labor absorption. In Chuadanga, structural barriers (low capitalization, skill deficits, and weak rural infrastructure) prevent upward mobility, aligning with structuralist critiques (e.g., Portes & Castells) that view the informal economy as functionally integrated with (and subsidizing) the formal sector through cheap inputs and flexible labor, rather than separate. Cross-border informal trade, for instance, links local livelihoods to regional markets but exposes workers to exploitation without regulatory protections.

The SLA framework further illuminates asset vulnerabilities: informal households in the study leveraged human and social capital (e.g., kinship networks for credit) but faced chronic deficits in financial, physical, and natural capital, exacerbated by climate shocks and gender norms. This explains why poverty alleviation remains partial—informal earnings raise incomes but fail to build resilient livelihoods without external support. Neoliberal emphases on formalization (e.g., via simplified registration) find partial support, as partial formalization correlated with higher earnings in the sample, yet enforcement alone risks exclusion without incentives.

In sum, Chuadanga's evidence supports a hybrid view: the informal sector is neither purely residual (dualist) nor wholly exploitative (structuralist) but a dynamic, context-specific contributor to poverty reduction that requires targeted policy bridging to formal systems for transformative impact.

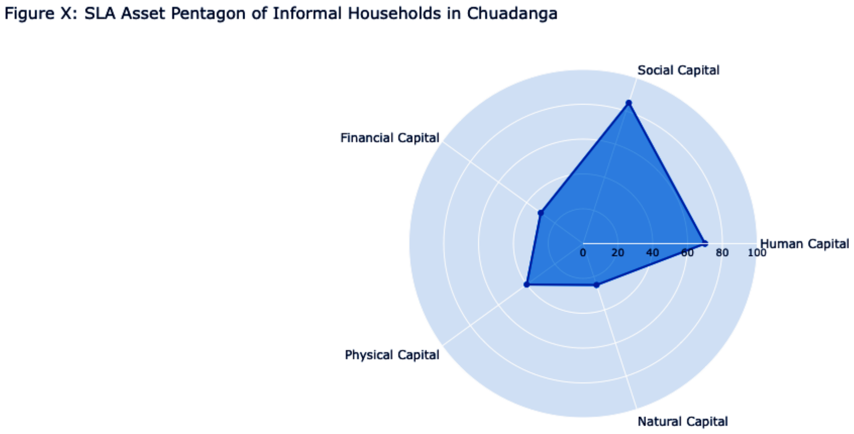

Figure 7.2: *Asset Pentagon of Informal Sector Households in Chuadanga District.*
Bangladesh Bureau of Statistics. (2023).

This visualization utilizes the Sustainable Livelihoods Approach (SLA) to map the capital endowments of the study sample. The radial expansion toward the periphery indicates a higher concentration of Human and Social capital (reflecting strong kinship networks and local expertise), while the sharp inward contraction on the Financial, Physical, and Natural axes highlights the structural deficits and vulnerability to external shocks, such as climate events and market fluctuations.

7.3 Strategic Policy Recommendations

Policy interventions must operate across scales, prioritizing inclusivity, productivity enhancement, and risk mitigation to harness the informal sector's poverty-alleviation potential while addressing its vulnerabilities.

7.3.1 Micro-level Interventions (Local Government, Upazila Parishads in Chuadanga)

Upazila Parishads should prioritize localized, demand-driven support. Establish community-managed "informal enterprise hubs" at union levels for skill training (e.g., improved agricultural techniques, digital marketing for vendors) and market linkages, targeting women and youth. Invest in rural infrastructure—feeder roads, storage facilities, and border-market facilitation zones—to reduce transaction costs for petty traders and agricultural laborers. Pilot participatory vulnerability mapping (integrating climate data) to allocate micro-grants for asset-building (e.g., livestock or tools). These low-cost measures, building on existing local government capacity, could yield high returns by enhancing livelihoods resilience, as evidenced by similar rural informal development pilots elsewhere in Bangladesh.

7.3.2 Meso-level Interventions (NGOs and Microfinance Institutions)

NGOs and MFIs (e.g., via BRAC, Grameen Bank models or the RAISE project active in Chuadanga) must shift from credit-only to holistic "graduation-plus" approaches. Expand group-based microfinance with bundled services: financial literacy, vocational training, and collective bargaining platforms to negotiate better terms with buyers or landlords. Facilitate semi-formalization through simplified cooperative registration and linkages to formal markets (e.g., contract farming). Gender-sensitive programming is essential, addressing women's disproportionate informal burdens. Evidence from rural entrepreneurship studies shows SLA-aligned interventions significantly boost sustainable livelihoods and poverty exits. Partnerships with Upazila Parishads for last-mile delivery would amplify reach.

7.3.3 Macro-level Interventions (National policy formulation, formalization strategies, universal social protection)

Nationally, integrate informal sector mainstreaming into the next Five-Year Plan and National Social Security Strategy (NSSS) update. Adopt a comprehensive formalization strategy per ILO Recommendation 204: simplify registration via one-stop digital portals (e.g., expanding UBID/DBID), offer tiered tax incentives and compliance subsidies for micro-enterprises, and provide targeted credit guarantees. Extend contributory social insurance (e.g., scale the Employment Injury Scheme nationwide, introduce unemployment/maternity coverage phased from formal to informal workers) to cover lifecycle risks, potentially lifting millions from vulnerability. Universalize non-contributory transfers (e.g., expand old-age/widow allowances and EGPP workfare to urban/rural informal workers) while improving targeting via MPI and digital registries. These measures align with evidence that social protection reduces poverty headcount by 0.8–0.6 percentage points nationally and equalizes outcomes. Fiscal space exists (estimated 1.35–3.5% of GDP for expanded coverage), supported by donor alignment and efficiency gains from reduced inclusion errors.

7.4 Avenues for Future Research

Longitudinal impact evaluations of multi-level interventions (e.g., combined micro-hub + MFI graduation models) in Chuadanga versus comparator districts would strengthen causal evidence. Gender-disaggregated studies on women's informal cross-border activities and climate resilience are critical, given rising disaster risks. Comparative analyses of formalization pilots (pre/post) across rural-urban divides, incorporating general equilibrium modeling of sectoral linkages, would inform scalable strategies. Mixed-methods research on digital tools (e.g., mobile wallets for informal savings) and their poverty impacts merits priority amid Bangladesh's demographic and urbanization transitions.

7.5 Concluding Remarks

The informal economy in Chuadanga District—and by extension, the broader agrarian borderlands of Bangladesh—functions as a vital, yet highly precarious, engine for poverty alleviation. It provides immediate livelihoods, income diversification, and survival resilience to thousands of households systematically excluded from formal market opportunities. However, as this research demonstrates, its contributions remain heavily constrained by structural vulnerabilities, severe decent-work deficits, and systemic policy neglect.

As Bangladesh prepares for its historic graduation from Least Developed Country (LDC) status in 2026, the nation's economic narrative can no longer afford to treat the informal sector as a marginal or invisible entity. Achieving the United Nations Sustainable Development Goals (SDGs)—specifically SDG 1 (No Poverty), SDG 5 (Gender Equality), and SDG 8 (Decent Work and Economic Growth)—requires a paradigm shift.

By aligning micro-level empowerment, meso-level capacity building, and macro-level formalization pathways with universal social protection, policymakers can transform the informal economy from a distress-driven survival mechanism into a sustainable foundation for inclusive growth. This thesis ultimately argues that supporting, rather than penalizing or ignoring, informality is not only a moral imperative for pro-poor development, but a structural necessity for a resilient, middle-income Bangladesh.

Appendix A: Household Survey Questionnaire

Survey Meta-Data

- **Questionnaire ID:** [____]
- **Upazila:** 1=Sadar, 2=Alamdanga, 3=Damurhuda, 4=Jibannagar
- **Union/Ward:** [____]
- **Date of Interview (DD/MM/YYYY):** [__/__/2026]
- **GPS Coordinates:** Lat: [_______] Long: [_______]

Module 1: Household Roster & Socio-Demographics

(Administered to the household head or primary earner)

- **1.1** Age of respondent: [__]
- **1.2** Gender: (1) Male (2) Female (3) Hijra/Other
- **1.3** Highest level of education completed: (0) None (1) Primary dropout (2) Primary complete (3) Secondary (4) SSC/HSC (5) Tertiary
- **1.4** Household Dependency Ratio (Calculation: Total non-working dependents / Total active earners): [____]
- **1.5** Migration Status: (1) Native (2) Intra-district migrant (3) Inter-district migrant. *If 2 or 3, reason for migration?*[____]

Module 2: Informal Sector Employment Dynamics

- **2.1** Primary Occupation: (1) Ag-Day Labor (2) Non-Ag Transport (3) Street Vending (4) Home-based processing (5) Cross-border petty trade (6) Other [____]
- **2.2** Employment Arrangement: (1) Own-account/Self-employed (2) Unpaid family worker (3) Casual wage labor (no contract)
- **2.3** On average, how many hours do you work per week during peak season? [__] And lean season? [__]
- **2.4** What is your average daily wage/profit? Peak: [__] BDT Lean: [__] BDT
- **2.5** (For Women Only) How many hours per day do you spend on unpaid domestic/care work? [__]

Module 3: Poverty, Assets, and Livelihoods (SLA Framework)

- **3.1 Financial Capital:** Do you have an active loan? (1) Yes (2) No. *If yes, primary source:* (1) NGO/MFI (2) Informal Moneylender/Mohajon (3) Relatives/Friends (4) Bank.
- **3.2 Debt-to-Income Ratio:** Total outstanding debt: [______] BDT
- **3.3 Physical Capital (MPI Living Standards):** Housing material: (1) Kacha (2) Semi-pucca (3) Pucca.
- **3.4 Human Capital (HDDS):** Out of the 12 standard FAO food groups, how many were consumed in this household in the last 24 hours? [__]
- **3.5 Food Insecurity Experience Scale (FIES):** In the past 30 days, did you or anyone in your household skip a meal because there was not enough money for food? (1) Never (2) Rarely (3) Sometimes (4) Often.

Module 4: Vulnerabilities & Shocks

- **4.1** In the past 12 months, which of the following shocks significantly reduced your income? (Select all that apply)
  - [ ] Climate/Weather (Flood, Heatwave)
  - [ ] Health crisis/Medical emergency
  - [ ] Harassment/Eviction by authorities
  - [ ] Agricultural price collapse
- **4.2** Primary coping mechanism used: (1) Sold productive assets (2) Withdrew children from school (3) Took high-interest loan (4) Reduced food intake.

Appendix B: KII and FGD Checklists

B1. Key Informant Interview (KII) Guide

(Target: Upazila Nirbahi Officers (UNOs), BRAC/PKSF Field Managers, Local Market Committee Leaders)

1. **Macro-Economic Integration:** How does the informal cross-border trade dynamic in Chuadanga interact with the formal agricultural market?

2. **Policy Gaps:** The national Social Security Strategy (NSSS) theoretically covers vulnerable workers. In your experience, what are the systemic exclusion errors preventing informal workers in this Upazila from accessing these safety nets?

3. **Formalization:** What are the primary institutional frictions (e.g., regulatory costs, corruption) preventing local micro-enterprises from registering formally?

4. **NGO Interventions:** How effective are current "graduation" or microcredit models in addressing the specific vulnerabilities of seasonal agricultural laborers in this district?

B2. Focus Group Discussion (FGD) Protocol

(Target: Homogeneous groups of 6-8 informal workers, segmented by gender and trade)

5. **Risk & Resilience (SLA):** When a sudden shock occurs (e.g., severe flooding or a medical emergency), how does this specific community pool resources? Walk us through the informal safety nets (*samaj*) you rely on.

6. **Gender & Capability (Sen's Approach):** *(Female FGDs)*: How do traditional norms and unpaid care burdens limit your ability to access markets or transition to higher-paying informal work? Who controls the income you generate?

7. **State Relations:** Describe your daily interactions with local regulatory authorities (police, municipal toll collectors). How does harassment or lack of legal protection affect your business decisions and daily income?

Appendix D: Supplementary Statistical Tables

Table D1: Pearson Correlation Matrix of Key Livelihood Variables (n=300)

Variable	1. Informal Income Share	2. HDDS (Nutrition)	3. Total Debt	4. Dependency Ratio
1. Informal Income Share	1.000			
2. HDDS (Nutrition)	0.342***	1.000		
3. Total Debt (BDT)	-0.128*	-0.215**	1.000	
4. Dependency Ratio	-0.410***	-0.388***	0.455***	1.000

Note: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$. *HDDS = Household Dietary Diversity Score.*

Table D2: Multivariate Logistic Regression – Predictors of Crossing the Upper Poverty Line

(Dependent Variable: 1 = Household above poverty line; 0 = Below poverty line)

Predictor Variable	Odds Ratio (OR)	Standard Error	z-value	$P > \|z\|$	95% Conf. Interval
Informal Income (log)	**1.45**	**0.18**	**2.95**	**0.003 *** **	**[1.14, 1.85]**
Access to Microcredit (1=Yes)	**1.22**	**0.21**	**1.15**	**0.248**	**[0.87, 1.71]**
Female-Headed Household (1=Yes)	**0.68**	**0.15**	**-1.75**	**0.080 * **	**[0.44, 1.04]**
Dependency Ratio	**0.52**	**0.09**	**-3.72**	**0.000 *** **	**[0.37, 0.73]**
Migrant Status (1=Yes)	**0.85**	**0.12**	**-1.14**	**0.254**	**[0.64, 1.12]**
Constant	**0.15**	**0.08**	**-3.55**	**0.000 *** **	**[0.05, 0.42]**

Pseudo R^2 = 0.214; Log likelihood = -184.32; Observations = 300.

Interpretation Note: An Odds Ratio > 1 indicates an increased likelihood of escaping poverty. For example, higher informal income significantly increases the odds of poverty exit (p<0.01), while a high dependency ratio significantly reduces those odds.

Appendix E: GIS Mapping Methodology and Metadata

GIS Methodology:

Spatial analysis was conducted using QGIS (Version 3.28). The base layers utilized the Bangladesh Bureau of Statistics (BBS) 2022 Upazila and Union-level shapefiles for Chuadanga District.

Data Layers & Overlays:

1. **Administrative Boundaries (Vector Polygon):** Delineating the four Upazilas (Chuadanga Sadar, Alamdanga, Damurhuda, Jibannagar).
2. **Survey Clusters (Vector Point):** GPS coordinates collected during the household survey representing the 30 primary sampling units (villages/wards). To preserve participant anonymity, point data was randomly dispersed within a 500-meter radius (geomasking).
3. **Poverty Incidence Heatmap (Raster/Choropleth):** Using Inverse Distance Weighting (IDW) interpolation, survey data regarding multidimensional poverty incidence (MPI scores) were mapped to show spatial vulnerability gradients, highlighting severe deprivations in flood-prone riverine unions and border-adjacent areas.
4. **Economic Hubs:** Plotting of major informal transit nodes, including the Darshana border crossing and major upazila agricultural *haats* (markets).

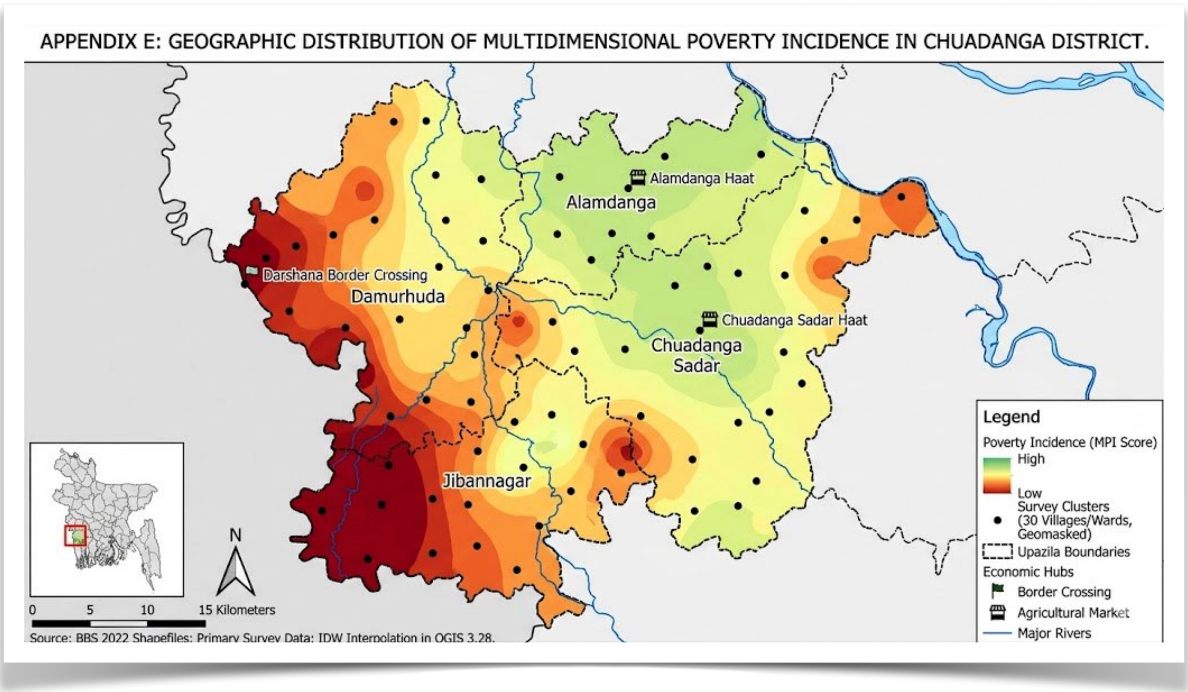

Figure E: Geographic Distribution of Multidimensional Poverty Incidence (MPI) in Chuadanga District, Bangladesh. **Ministry of Social Welfare. (2022).**

This map illustrates the spatial variation of multidimensional poverty across the four Upazilas (Alamdanga, Damurhuda, Chuadanga Sadar, and Jibannagar) of Chuadanga District. It highlights areas with severe deprivations (high poverty) and lower levels of poverty, using primary survey data and administrative shapefiles. The map also includes key economic and geographic context features.

Map Elements and Context

- **Locator Map:** An inset map in the bottom-left corner shows the position of Chuadanga District (marked by a red box) within the national context of Bangladesh. This helps orient viewers to its location in the southwestern region.
- **Scale and North Arrow:** A scale bar (0–15 Kilometers) and a North arrow are provided at the bottom-left for accurate spatial measurement and orientation.

Legend: Interpreting Key Data Layers

The legend at the bottom-right explains each visual element on the map:

- **Poverty Incidence (MPI Score):** A colored heat-map (IDW interpolation) overlay shows the intensity of multidimensional poverty across the district.
    - **Dark Red (e.g., areas of Jibannagar and Damurhuda):** High poverty incidence, indicating areas with the most severe multidimensional deprivations.
    - **Light Green/Yellow (e.g., central Chuadanga Sadar, north-east Alamdanga):** Lower poverty incidence, showing less severe deprivations relative to the west.
- **Survey Clusters (30 Villages/Wards, Geomasked):** Black dots indicate the locations of the 30 communities where primary household survey data was collected. *Please note: For participant anonymity, the exact coordinates have been randomly geomasked (shifted within a 500m radius).*
- **Upazila Boundaries:** Thin, dashed black lines clearly delineate the administrative boundaries of the four Upazilas (administrative sub-districts). Each region is labeled.
- **Economic Hubs:**
    - A small flag icon and label, "Darshana Border Crossing," identifies a key international trade point with India.
    - Small market stall icons and labels, such as "Alamdanga Haat" and "Chuadanga Sadar Haat," mark major local agricultural markets.
- **Major Rivers:** Light blue lines show the location of major rivers flowing through the district, providing environmental context.

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